

CHAPTER ONE: An Over View of Marketing & Marketing Management

1.1 Definition of Marketing

What comes to your mind when you think of marketing?

Marketing can be defined in various ways. In order to understand the term marketing, we can use the following definitions.

- Marketing is a social and managerial process by which individuals and groups obtain what they want and need through creating, offering and exchanging products of value with others.
- Marketing is the process of development and efficient distribution of goods and services to a target market with the objective of making profit.
- Marketing is a process of anticipation, management and satisfaction of demand through exchange.

Different authors have defined marketing in various ways. For this course purpose, we shall consider the following definitions. According to Perreault (2002), **marketing** means “selling” or “advertising.” It’s true that these are parts of marketing. But marketing is much more than selling and advertising. Marketing helps to connect businesses to their customers.

According to Lamb (2004), marketing is the process of planning and executing the conception, pricing, promotion and distribution of ideas, goods and services to create exchanges that satisfy individual and organizational goals.

1.2 Marketing Management Philosophies/Concepts/

Marketing management is defined as a conscious effort to achieve desired exchange outcomes with target markets. But what philosophy should guide marketing efforts? What relative weights should be given to the interests of the organization, the customers and society? Very often these interests conflict each other. There are five competing concepts under which organizations can choose to conduct their marketing activities. These are;

1. The Production Concept/Philosophy

This philosophy is probably the oldest concept in guiding marketing (in the early 1905). The concept holds that consumers will favor those products that are widely available and low in cost. Therefore, management should focus on improving production and distribution efficiency. The production concept is still a useful philosophy in two types of situations. It is ideal when demand for a product exceeds the supply. Here management should look ways to increase production. It

is also ideal in situations when a production cost is too high and improved productivity is needed to bring it down. However, although useful in some situations, the-production concept can lead to marketing myopia. Companies adopting this orientation run a major risk of focusing too narrowly on their own operations and losing sight of the real objective-satisfying customer needs and building customer relationships.

2. The Product Concept

The product concept holds the assumption that consumers will favor those products that offer the most quality, performance and/or innovative features.

Managers in these organizations focus on making superior products and improving them over time, assuming that buyers can appraise quality and performance. Under this concept, marketing strategy focuses on making continuous product improvements. Product quality and improvement are important parts of most marketing strategies. However, focusing only on the company's products can also lead to marketing myopia. Managers in these organizations are sometimes caught up in a love affair with their products.

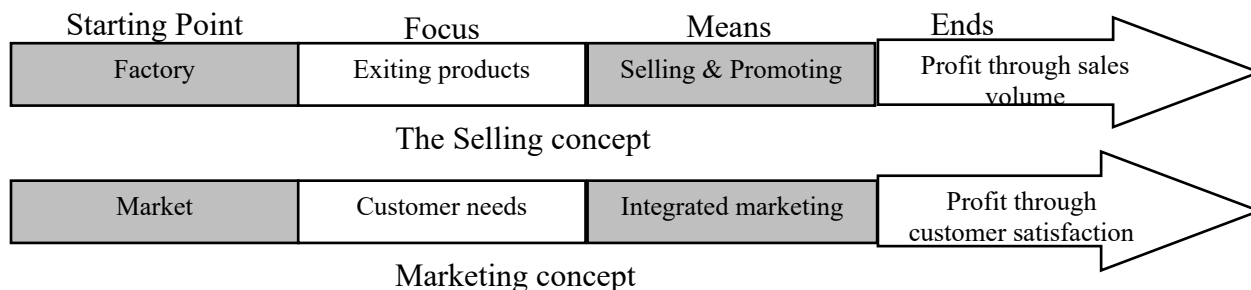
3. The Selling Concept

The selling concept holds that consumers, if left alone, will ordinarily not buy enough of the organization's products unless greater effort is under taken towards selling and advertising. The concept is typically practiced with unsought goods-those that buyers do not normally think of buying, such as insurance or blood donations. Most firms practice the selling concept when they face over capacity. Their aim is to sell what they make rather than make what the market wants.

4. The Marketing Concept

This concept holds that the key to achieve organizational goals consists of being more effective than competitors in integrating marketing activities towards determining and satisfying the needs and wants of target market. The marketing concept rests on four pillars; **Target market, consumer need, integrated marketing and profitability.**

The marketing concept holds that achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do. Under the marketing concept, customer focus and value are the paths to sales and profits. Instead of a product-centered "make and sell" philosophy, the marketing concept is a customer-centered "sense and respond" philosophy. It views marketing not as "hunting," but as "gardening." The job is not to find the right customers for your product, but to find the right products for your customers. contrasts the selling concept and the marketing concept.



5. *The Societal - Marketing Concept*

The societal marketing concept holds that the organizations task is to determine the needs, wants and interests of target markets and to deliver the desired satisfactions more effectively and efficiently than competitors in a way that preserves or enhances the consumer's and the society's well-being. For example, McDonald's and Burger King still cook their fried foods in oils that are high in artery-clogging trans fats. Such unhealthy fare, the critics claim, is leading consumers to eat too much of the wrong foods, contributing to a national obesity epidemic. What's more, the products are wrapped in convenient packaging, but this leads to waste and pollution. Thus, in satisfying short-term consumer wants, the highly successful fast-food chains may be harming consumer health and causing environmental problems in the long-run.

1.3 CORE CONCEPTS, NEW TRENDS & TASKS OF MARKETING

The core concepts of marketing

To understand the marketing function, we need to understand certain fundamental concepts and tasks; along with current trends because these core set of concepts create the foundation for marketing management and a holistic marketing orientation. The core concepts of marketing are

i) Customer Needs, Wants and Demands

Needs: Needs are basis for motivation of people and they constitute basic human requirements. People need food, water, air, and shelter to survive. Human needs are states of felt deprivation. When we are deprived or deficient for something, we strive or act to fulfill the deficiency. They include basic physical needs for food, clothing, and safety; social needs for belonging and affection; and individual needs for knowledge and self-expression. These needs were not created by marketers; they are a basic part of the human makeup.

Wants: Wants are the form human needs take as they are shaped by culture and individual personality. Wants are desires for specific satisfiers of needs. Needs becomes wants when they are directed to specific objects that might satisfy the need. An American needs food but wants

hamburger French fries, and a soft drink. A person in Mauritius needs food but wants a mango, rice, and beans. Wants are shaped by one's society. Wants are many and are subjected to cultural shifts and technological dynamism, whereas needs are few and are innate or inborn.

Marketers strive not to create needs but identify them and develop products (wants) that would satisfy the needs.

They do not, however, create the need for social status.

Needs	Possible need satisfying wants
Food	Hamburger (American), Injera (Ethiopian), Rice (Indian), potatoes (Russians) etc.
Transportation	Horseback, personal automobile, bus, airplane, trains, ship, etc.

Demands: Demands are wants for specific products that are backed by an ability and willingness to buy them. In the following example, you will be able to clearly distinguish demands from wants. Many people want a Mercedes or other luxuries personal automobiles, but only few are able and willing to buy one. From the above statement, you can clearly understand that demand is different from want by two major points, i.e. the purchasing power or financial capacity to purchase the product and the willingness to buy it.

Demand = wants exhibited + ability to buy + willingness to buy

Marketers should measure not only how many people want their products, but also how many would actually be willing and able to buy it. Marketers influence demand by making the product more attractive and appropriate, affordable and easily available to target markets. These activities are collectively named as marketing mix elements.

ii) Market Offerings or Products

Consumers' needs and wants are fulfilled through a market offering-some combination of products, services, information, or experiences offered to a market to satisfy a need or want. Hence, a product is anything that can be offered to the market for attention, acquisition, use or consumption that might satisfy a need.

Market offerings are not limited to physical products They also include services, activities or benefits offered for sale that are essentially intangible and do not result in the ownership of anything. Examples include banking, airline, hotel, and home repair services. More broadly,

market offerings also include other entities, such as persons, places, organizations, information, and ideas.

iii) Customer Value, Cost and Satisfaction

Marketers must be careful to set the right level of expectations. Customer value and customer satisfaction are key building blocks for developing and managing customer relationships.

Customer value: is the consumer's estimate of the product's overall capacity to satisfy his or her needs. The product or offering will be successful if it delivers value and satisfaction to the target buyer. Value can be seen as primarily a combination of quality, service and price (QSP), called the customer value triad. Value increases with quality and service, but decreases with price.

$$\text{Value} = \frac{\text{Benefits}}{\text{Costs}} = \frac{\text{Functional Benefits} + \text{Emotional Benefits}}{\text{Monetary costs} + \text{Time costs} + \text{Energy costs} + \text{Psychic costs}}$$

Satisfaction: is the result of the comparison of perceived (actual) performances and expectations. A product or offering is said to have satisfied the needs of the target market if and only if it meets the minimum consumer expectations. The following cases will clarify the meaning of customer satisfaction with better understanding.

Table 1.1 Satisfaction: Result of Comparison of Perceived (Actual) Performance and Expectation

	Actual performance of a product	Is less than	Buyer's Expectations	It results in dissatisfaction
If	Actual performance of a product	Is equal/almost similar to	Buyer's Expectations	It results in satisfaction
	Actual performance of a product	Is greater than	Buyer's Expectations	It results in delight (a very pleasant state more than satisfaction)

iv) Exchange and Transaction

There are four ways for people to obtain a product. Exchange is one of the four ways in which a person can obtain a product. Let us see the nature of the following ways of obtaining a product and compare it with exchange mode.

Self-production: One way of obtaining a product or service is producing it by oneself. For instance, people can possibly relieve hunger through hunting, fishing, or fruit gathering. These are ways of self-production. In this case, there is no market and no marketing at all.

Coercion: This is another possible mode of obtaining a product. By coercion, we mean the use of force to get something from someone, where no benefit is offered to the other. For instance, a hungry person can snatch food from another person. Here, the former gets the food, whereas, the latter obviously gets no benefit.

Begging: This is the third possible way of obtaining a product. Hungry people can approach others and beg for food. They have nothing tangible to offer to others, except appreciation and thankfulness.

Exchange: Exchange is the fourth possible way of obtaining a product. Hungry people can offer a resource in return for food, such as money, a good, or service. Marketing emerges when people decide to satisfy needs and wants through exchange.

Exchange, which is one of the core concepts of marketing, is the process of obtaining a desired product from someone by offering something in return. For exchange potential to exist, five conditions must be satisfied:

1. There are at least two parties.
2. Each party has something that might be of value to the other party.
3. Each party is capable of communication and delivery.
4. Each party is free to accept or reject the exchange offer.
5. Each party believes it is appropriate or desirable to deal with the other party.

Whether exchange actually takes place depends upon whether the two parties can agree on terms that will leave them both better off (or at least not worse off) than before. Exchange is a value-creating process because it normally leaves both parties better off.

Note that exchange is a process rather than an event. Two parties are engaged in exchange if they are negotiating—trying to arrive at mutually agreeable terms. When an agreement is reached, we say that a transaction takes place.

Transaction is a trade of values between two or more parties: A gives X to B and receives Y in return. A transaction involves:

- At least two things of value,
- Agreed-upon conditions,
- A time of agreement, and
- A place of agreement

Transaction can be of a classic monetary mode or barter one. A barter transaction involves trading goods or services for other goods or services. E.g., A gives salt to B and B gives soap to A. Transaction differs from transfer. In a transfer, A gives X to B but does not receive any thing tangible in return. Gifts, subsidies, and charitable contributions are all transfers. To make successful exchanges, marketers analyze what each party expects from the transaction.

v) Relationships and Networks

Transaction marketing is part of a larger idea called relationship marketing. Relationship marketing aims to build long-term mutually satisfying relations with key parties— customers, suppliers, distributors—in order to earn and retain their long-term preference and business. Effective marketers accomplish this by promising and delivering high-quality products and services at fair prices to the other parties over time. Relationship marketing builds strong economic, technical, and social ties among the parties. It cuts down on transaction costs and time. The ultimate outcome of relationship marketing is the building of a unique company asset called a marketing network. A marketing network consists of the company and its supporting stakeholders (customers, employees, suppliers, distributors, advertising agencies, and others)

The following representation indicates and clarifies our discussions above.



Figure 1.1 Building of marketing network which results profits

vi) Markets, Marketers and Prospects

A **market** consists of all the actual and potential customers sharing a particular need or want who might be willing and able to engage in exchange to satisfy that need or want.

A **marketer** is someone seeking a response (attention, a purchase, a vote, a donation) from one or more prospects that might engage in exchange of values.

When one party is more actively seeking an exchange than the other party, we call the first party a marketer and the second party a prospect. A **prospect** is someone whom the marketer identifies as potentially willing and able to engage in an exchange. The prospect is relatively less active when compared to the marketer. A classic T-shirt manufacturer and seller (i.e. the marketer) may keep his outlets or shops open for almost all working hours in a year facilitating exchange through various marketing mix elements like attractive prices, and promotional packages. But you, a potential buyer (prospect) may visit the shop not more than three or four times in a year and may not give too much attention to the marketer's advertisements always.

1.4 Demand Management

The organization has a desired level of demand for its products. At any point in time, there may be no demand, adequate demand, irregular demand or too much demand, and marketing management must find ways to deal with these different demand states. Marketing management is concerned not only with finding and increasing demand, but also with changing or even reducing it. Marketers are skilled in stimulating demand for a company's products. Marketing managers seek to influence the level, timing, and composition of demand to meet the organization's objectives. Eight demand states are possible:

1) **Negative demand**: Consumers dislike the product and may even pay a price to avoid it.

This is a type of demand in which a major part of the market dislikes the product and may even pay a price to avoid it. Included in this category are vaccinations, dental work, etc. Employers have a negative demand for alcoholics as employees. Consider the following example. Most people prefer to pay higher price (e.g., more than Br. 10, 000) for tablets to avoid kidney surgery. Assume that a well-equipped hospital charges Br. 5000 for the surgery. If a greater number of people still prefer the tablet option that would mean a negative demand for kidney surgery service. In this case, patients are ready to pay extra 5000 or more to avoid (not using) the surgery.

Marketing Task

Conversational Marketing: the marketing task is to analyze why the market dislikes the product and whether a marketing program consisting of product redesign, lower prices, and more positive promotion can change beliefs and attitudes.

- 2) **Nonexistent demand /no demand/**: Consumers may be unaware or uninterested in the product. This is a demand situation when the target consumers may be unaware or uninterested in the product. Farmers may not be interested in new farming methods, and college students may not be interested in foreign language courses.

Marketing Task

Stimulation marketing: The marketing task is to find ways to connect the benefits of the product with people's natural needs and interests. The marketer should strive to convince that consumption of such products eases the user's day-t-day life. It is when they are convinced that they develop a reasonable level of interest towards the product.

- 3) **Latent demand**: Consumers may share a strong need that cannot be satisfied by an existing product.

Consumers may share a strong need that cannot be satisfied by any existing product. There is a strong demand for harmless cigarettes, safer neighborhoods, better schools, and more fuel-efficient cars.

Marketing Task

Developmental marketing: The appropriate marketing task is to measure the size of the market and develop goods and services to satisfy the demand.

- 4) **Declining demand** - Consumers begin to buy the product less frequently or not at all.

Consumers begin to buy the product less frequently or not at all. Every organization, eventually, faces declining demand for one or more of its products. Private colleges have seen applications fall; airliners have seen declining demand in passengers or cargo etc.

Marketing Task

Remarketing (Re-stimulating): The marketer must analyze the causes of the decline and determine whether demand can be re-stimulated by new target markets, and by changing product features, or by more effective communication styles. The marketing task is then generally to reverse declining demand through creative remarketing.

- 5) ***Irregular demand*** - Consumer purchases vary on a seasonal, monthly, weekly, daily, or even hourly basis.

Many organizations face demand that varies on a seasonal, daily, or even hourly basis. Consider the demand of woolen and fur made clothes during a hot season, the demand of mass transit

equipment's in an airline during peak travel hours etc. Museums are under visited on weekdays, and overcrowded on weekends. A very high demand or very low demands are both not favorable for firms. The former causes too much stretching in that a firm may be forced to assume part time payment expenses and the later (very low demand) causes idle capacity which is not efficient.

Marketing Task

Synchronic marketing: is to find ways to alter the pattern of demand through flexible pricing, promotion, and other incentives.

6) **Full demand:** Consumers are adequately buying all products put into the marketplace.

Consumers are adequately buying all products put in to the market place. Organizations face full demand when they are pleased with their volume of business. It is a demand situation where the actual demand is equal or at least proportional to what the firm can assume with its existing resources.

Marketing Task

Maintain marketing: The marketing task is to maintain the current level of demand in the face of changing consumer preferences and increasing competition. The organization must maintain or improve its quality and continually measure consumer satisfaction.

7) **Overfull demand:** More consumers would like to buy the product than can be satisfied.

More consumers would like to buy the product than can be satisfied. Some organizations face a demand level that is higher than they can or want to handle. Overfull demand is not a favorable demand pattern for most firms as it results in more work pressure and even dissatisfaction for some of the buyers.

Marketing Task

De-marketing: The marketing task requires finding ways to reduce demand temporarily or permanently. General de-marketing seeks to discourage overall demand and includes such steps as raising prices and reducing promotion and service. Selective de-marketing consists of trying to reduce demand from those parts of the market that are less profitable.

8) **Unwholesome demand:** Consumers may be attracted to products that have undesirable social consequences.

Consumers may be attracted to products that have undesirable social consequences. Unwholesome products will attract organized efforts to discourage their consumption. Campaigns have been conducted against cigarettes, hard drugs, handguns, X-rated movies, and large families.

Marketing Task:

The marketing task is to get people who like something to give it up, obey the rules of some established agencies, using fear messages (e.g., Cigarettes are dangerous for health, Cigarettes are dangerous for pregnant women etc) and reduce availability.

1.5 New Trends in Marketing

Recently markets face challenges to meet their marketing objectives due to important changes in the marketing macro environment, such as globalization, deregulation, technological advances, customer empowerment, and market fragmentation. In response to this rapidly changing environment, companies have restructured their business and marketing practices in some of the following ways

- | | | | |
|---|---------------------|----|--------------|
| 1 | Reengineering | 7 | Globalizing |
| 1 | Outsourcing | 8 | Flattening |
| 2 | Benchmarking | 9 | Focusing |
| 3 | Supplier partnering | 10 | Accelerating |
| 4 | Customer partnering | 11 | Empowering |
| 5 | Merging | | |

The Tasks of Marketing Management

Marketing management plays the following core tasks

- Developing marketing plans and strategies
- Capturing marketing insights
- Connecting with the customer

- Building strong brands
- Shaping the market offering
- Delivering value
- Communicating value

Q. Discuss the importance of undertaking the above tasks

UNIT 2

THE MARKETING ENVIRONMENT

☛ What is marketing environment for you? What are its components?

The company's marketing environment consists of the actors and forces external to the marketing function of the firm that impinge on the marketing management's ability to develop and maintain successful transactions with its target customers. The marketing environment offers both opportunities and threats

The marketing environment consists of two broad factors;

- A. Micro environment- consists of forces closer to the company that affect its ability to serve its customers.

Marketing management's job is to build relationships with customers by creating customer value and satisfaction. However, marketing managers cannot do this alone. Marketing success will require building relationships with other company departments, suppliers, marketing intermediaries, customers, competitors, and various publics, which combine to make up the company's value delivery network.

❖ The company

In designing marketing plans, marketing management takes other company groups into account groups such as top management, finance, research and development (R&D), purchasing, operations, and accounting. Top management sets the company's mission, objectives, broad strategies, and policies. Marketing managers make decisions within the strategies and plans made by top management. Marketing managers must work closely with other company departments. Other departments have an impact on the marketing department's plans and actions. And under the marketing concept, all of these functions must "think consumer." They should work in harmony to provide superior customer value and satisfaction.

❖ Suppliers

Suppliers are organizations and individuals that provide the resources needed to produce goods and services. They are critical to an organization's marketing success and an important link in its value delivery system. Marketers must watch supply availability and monitor price trends of key inputs. If there is a breakdown in the link between the organization and its suppliers, the result will be delays and shortages that can negatively impact the organization's marketing plans. On the other

hand, positive and cooperative relationships between the organization and its suppliers can lead to enhanced service and customer satisfaction.

❖ **Marketing intermediaries**

Marketing intermediaries help the company to promote, sell, and distribute its products to final buyers. They include resellers, physical distribution firms, marketing services agencies, and financial intermediaries. Resellers are distribution channel firms that help the company find customers or make sales to them. These include wholesalers and retailers, who buy and resell merchandise.

Physical distribution firms help the company to stock and move goods from their points of origin to their destinations. Working with warehouse and transportation firms, a company must determine the best ways to store and ship goods, balancing factors such as cost, delivery, speed, and safety. Marketing services agencies are the marketing research firms, advertising agencies, media firms, and marketing consulting firms that help the company target and promote its products to the right markets. Financial intermediaries include banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods. Like suppliers, marketing intermediaries form an important component of the company's overall value delivery system.

Customer /market

Organizations closely monitor their markets in order to adjust to changing tastes and preferences. A market is people or organizations with wants to satisfy, money to spend, and the willingness to spend it. Each target market has distinct needs, which need to be monitored. It is imperative for an organization to know their customers, how to reach them and when customers' needs change in order to adjust its marketing efforts accordingly. The market is the focal point for all marketing decisions in an organization.

The company needs to study four types of markets closely.

Consumer markets consist of individuals and households that buy goods and services for personal consumption.

Business markets buy goods and services for further processing or for use in their production process, whereas reseller markets buy goods and services to resell at a profit.

Government markets are made up of government agencies that buy goods and services to produce public services or transfer the goods and services to others who need them.

Finally, international markets consist of these buyers in other countries, including consumers, producers, resellers, and governments. Each market type has special characteristics that call for careful study by the seller.

❖ Competitors

The marketing concept states that to be successful, a company must provide greater customer value and satisfaction than its competitors do. Thus, marketers must do more than simply adapt to the needs of target consumers. They also must gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers. No single competitive marketing strategy is best for all companies. Each firm should consider its own size and industry position compared to those of its competitors.

❖ Publics

The company's marketing environment also includes various publics. A public any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives. A company can prepare marketing plans for major publics as well as for its customer markets. Suppose the company wants a specific response from a particular public, such as good will, favorable word of mouth, or donations of time or money. The company would have to design an offer to this public that is attractive enough to produce the desired response.

B. Macro environment – consists of the large societal forces that affect the micro environment. The company and all of the other actors operate in a larger macro environment forces that shape opportunities and pose threats to the company.

These forces are largely uncontrollable by management; but they are not totally uncontrollable. A company may be able to influence its external environment to some extent. For example, in international marketing a company can improve its competitive position by joint venture with a foreign firm that makes a complementary product

❖ Demographic

Demography is the study of human populations in terms of size, density, location, age, gender, race, occupation, growth and other statistics. Demographics are of special interest to marketing executives because people constitute markets. The world's large and highly diverse population poses both opportunities and challenges. The characteristics in this environment are important to marketers because they are closely related to the demand for many products. Change in

demographics signal the rise of new markets and the elimination of others. They help us anticipate the needs and wants of the population.

The explosive population growth has major implications for business. A growing population means growing human needs to satisfy. Depending on the purchasing power, it may also mean growing market opportunities.

To summarize, marketers keep close track of demographic trends and developments in their markets, both at home and abroad. They need to track changing age and family structures, geographic population shifts, educational characteristics, and population diversity.

❖ **Economical**

People alone do not make a market. They must have money to spend and be willing to spend it. Consequently, the economic environment is a significant force that affects the marketing activities of just about any organization. The environment consists of factors that affect consumer purchasing power and spending patterns.

A marketing program is affected especially by such economic factors as the current and anticipated stage of the business cycle, inflation, unemployment, interest rates, and income. Changes in major economic variables have a significant impact on the market place. People spend, save, invest and try to create personal wealth with differing amounts of money. How people deal with their money is important to marketers. Trends in the economic environment show an emphasis on global income distribution issues, low savings and high debt, and changing consumer-expenditure patterns. Nations vary greatly in their levels and distribution of income. Some countries have subsistence economies-they consume most of their own agricultural and industrial output. These countries offer few market opportunities. At the other extreme are industrial economies, which constitute rich markets for many different kinds of goods. Therefore, marketers must pay close attention to major trends and consumer spending pattern both across and within their world market.

❖ **Natural**

The natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities. Environmental concerns have grown steadily during the past three decades. In many cities around the world, air and water pollution have reached

dangerous levels. World concern continues to mount about the possibilities of global warming, and many environmentalists fear that we soon will be buried in our own trash.

Marketers should be aware of several trends in the natural environment. The first involves growing shortages of raw materials. Air and water may seem to be infinite resources, but some groups see long-run dangers. Air pollution chokes many of the world's large cities, and water shortages are already a big problem in some parts of the United States and the world. Renewable resources, such as forests and food, also have to be used wisely. Nonrenewable resources, such as oil, coal, and various minerals, pose a serious problem. Firms making products that require these scarce resources face large cost increases, even if the materials do remain available.

A second environmental trend is increased pollution. Industry will almost always damage the quality of the natural environment. Consider the disposal of chemical and nuclear wastes; the dangerous mercury levels in the ocean; the quantity of chemical pollutants in the soil and food supply; and the littering of the environment with non-biodegradable bottles, plastics, and other packaging materials.

A third trend is increased government intervention in natural resource management. The governments of different countries vary in their concern and efforts to promote a clean environment. Some, like the German government, vigorously pursue environmental quality. Others, especially many poorer nations, do little about pollution, largely because they lack the needed funds or political will. Even the richer nations lack the vast funds and political accord needed to mount a worldwide environmental effort. The general hope is that companies around the world will accept more social responsibility, and that less expensive devices can be found to control and reduce pollution.

In the United States, the Environmental Protection Agency (EPA) was created in 1970 to set and enforce pollution standards and to conduct pollution research. In the future, companies doing business in the United States can expect continued strong controls from and pressure groups. Instead of opposing regulation, marketers should help develop solutions to the material and energy problems facing the world.

Concern for the natural environment has spawned the so-called green movement. Today, enlightened companies go beyond what government regulations dictate. They are developing

environmentally sustainable strategies and practices in an effort to create a world economy that the planet can support indefinitely.

Other companies are developing recyclable or biodegradable packaging, recycled materials and components, better pollution controls, and more energy-efficient operations. For example, HP is pushing legislation to force recycling of old TVs, computers, and other electronic gear.

❖ Technological

Technology has tremendous impact on our life-styles, our consumption patterns, and our economic well-being. The technological environment refers to new technologies, which create new product and market opportunities. However, every new technology replaces an older technology.

The technological environment is perhaps the most dramatic force now shaping our destiny. Technology has released such wonders as antibiotics, robotic surgery, laptop computers, and the Internet. It also has released such horrors as nuclear missiles, and chemical weapons. It has released such mixed blessings as the automobile, television, and credit cards. Our attitude toward technology depends on whether we are more impressed with its wonders or its blunders.

The technological environment changes rapidly. Think of all today's common products that were not available 100 years ago, or even 30 years ago. For example, Abraham Lincoln did not know about automobiles, airplanes, radios, or the electric light.

Technological breakthrough can affect markets in three ways:

- By starting entirely new industries, as compilers lasers, and robots have done
- By radically altering, or virtually destroying existing industries. When it first came out, television crippled the radio and movie industries. And computers all but replaced type writers
- By stimulating markets and industries not related to the new technology. New home appliances give people additional time in which to engage in other activities.

Advance in technology; also affect how marketing is carried out. For example, breakthrough in communications now permits people and organizations to transact business from almost any location at any time of the day.

In general, technological developments are the most manageable uncontrollable force faced by marketers' organizations needs to be aware of new technologies in order to turn these advances in to opportunities and a competitive edge. Here we should also note that technology is mixed

blessings in solve ways. New technology may improve our lives in one area while creating environmental and social problems in other areas. The automobile makes life great in some ways, but it also creates traffic jams and air pollution. A part from this, technological changes have forced organizations to quickly adapt their plan in terms of how they develop, price, distribute, and promote their products.

❖ Political

Marketing decisions are strongly affected by developments in the political and legal environment. Organizations must operate within a frame work of governmental regulation and legislation. Government relationships with organizations encompass subsidies, tariffs, import quotas, and deregulation of industries.

The political environment consists of laws, government agencies, and pressure groups that influence or limit various organization and individuals in a given society.

Legislation Regulating Business

Even the most liberal advocates of free-market economies agree that the system works best with at least some regulation. Well-conceived regulation can encourage competition and ensure fair markets for goods and services. Thus, governments develop public policy to guide commerce – sets of laws and regulations that limit business for the good of society as a whole. Almost every marketing activity is subject to a wide range of laws and regulations.

Legislation affecting business around the world has increased steadily over the years. For example, the United States has many laws covering issues such as competition, fair trade practices, environmental protection, and product safety, truth in advertising, packaging and labeling, pricing and other important areas.

Business legislation has been enacted for a number of reasons. The first is to protect companies from each other. Although business executives may praise competition, they sometimes try to neutralize it when it threatens them. So laws are passed to define and prevent unfair competition. The second purpose of government regulation is to protect consumers from unfair business practices. Some firms, if left alone would make shoddy products, tell lies in their advertising and deceive consumers through their packaging and pricing. Unfair and unscrupulous business practices have been defined and are enforced by various agencies.

The third purpose of Government regulation is to protect the interests of society against unrestrained business behavior. Profitable business activity does not always create a better quality of life. Regulation arises to ensure that firms take responsibility for the social costs of their production or products.

International marketers will encounter dozens, or even hundreds, of agencies set up to enforce trade policies and regulations. New laws and their enforcement will continue to increase. Business executives must watch these developments when planning their products and marketing programs. Marketers need to know about the major laws protecting competition, consumers and society. They need to understand these laws at the local, state, national and international levels.

❖ Cultural forces

The socio-cultural environment is made up of institutions and other forces that affect a society's basic values, perceptions, preferences, and behaviors. People grow up in a particular society that shapes their basic beliefs and values. They absorb a worldview that defines their relationships with others.

The task facing marketing executives is becoming more complex because our socio-cultural patterns – life-styles, values, beliefs – are changing much more quickly than they use to on top of this, socio-cultural forces are the most difficult uncontrollable variables to predict.

Marketing Information System

A marketing information system consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers. A marketing information system is developed from **internal company records, marketing intelligence activities, and marketing research.**

A **marketing information system (MkIS)** is a software program that provides information about marketing research. It allows users to compile and analyze data in a very easy, organized fashion. MkIS systems are also effective tools that help users make decisions about consumer behavior and the marketing mix, including products and how they are placed, priced, and promoted. The more sophisticated the management information system, the more information it can provide

UNIT 3

ANALYZING CONSUMER MARKETS AND BUYING BEHAVIOR

Unit description

This chapter deals with consumer behavior, the factors affecting consumer behavior, the stages of consumer buying process, types of consumer buying behavior; business buying behavior, participants in business buying, business buying situations & business buying decision process. To deliver these contents, active learning methods such as brainstorming, interactive lecture, group discussion, independent study and the like will be used. To assess students' achievement, both continuous assessment such as quiz, test, assignment and final exam will be used.

- ☛ **What is consumer behavior? What is the difference between consumer and industrial buyer?**

3.1 Consumer Buying Behavior

According to Philip Kotler, consumer-buying behavior refers to the buying behavior of final consumers. It describes the buying behavior of individuals and households who buy goods and services for personal or household consumption.

The field of customer behavior studies how individuals, groups, and organizations select, buy, use, and dispose of goods, services, ideas, or experiences to satisfy their needs and desires.

Consumers around the world vary tremendously in age, income, educational level, and tastes. They also buy an incredible variety of goods and services. How these diverse consumers relate with each other and with other elements of the world around them impact their choices among various products, services, and companies. Here we examine the fascinating array of factors that affect consumer behavior.

3.2 Model of Consumer Behavior

Understanding how consumers respond to your marketing efforts (including products, price, advertising etc.) as part of their buying behavior is believed to be important to marketers. The

commonly used model to understand the buying behavior of consumers is the stimulus – response model.

Stimuli: there are quite a lot of factors, which stimulate customers to think of buying products and to make ultimate decision of buying. These factors can be seen as marketing and other stimulus

- ❖ Marketing factors: Product, Price, Place, Promotion
- ❖ Others: Economic factors, Socio-cultural factors, Technological factors, Political factor

Marketing stimuli consist of the Four Ps: product, price, place, and promotion. Other stimuli include major forces and events in the buyer's environment: economic, technological, political, and cultural. All these inputs enter the buyer's black box /consciousness/, where they are turned into a set of observable buyer responses: product choice, brand choice, dealer choice, purchase timing, and purchase amount.

The marketer wants to understand how the stimuli are changed into responses inside the consumer's black box, which has two parts. First, the buyer's characteristics influence how he or she perceives and reacts to the stimuli. Second, the buyer's decision process itself affects the buyer's behavior. We look first at buyer characteristics as they affect buyer behavior and then discuss the buyer decision process.

These all may strike a question in a consumer mind (black-box)

Model of buying behavior

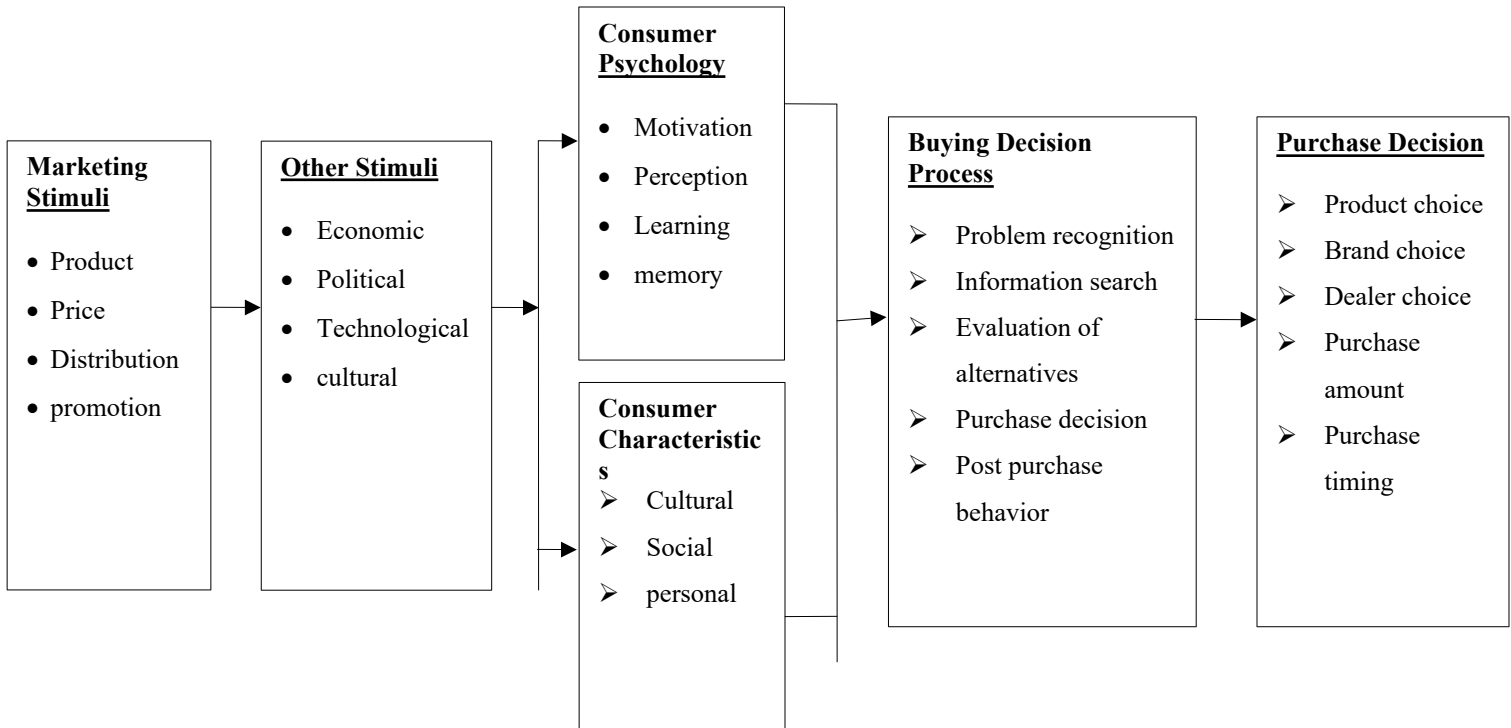


Figure: model of consumer behavior

Q. Discuss the aforementioned consumer behavior model

3.3 Factors Affecting Consumer Buying Behavior

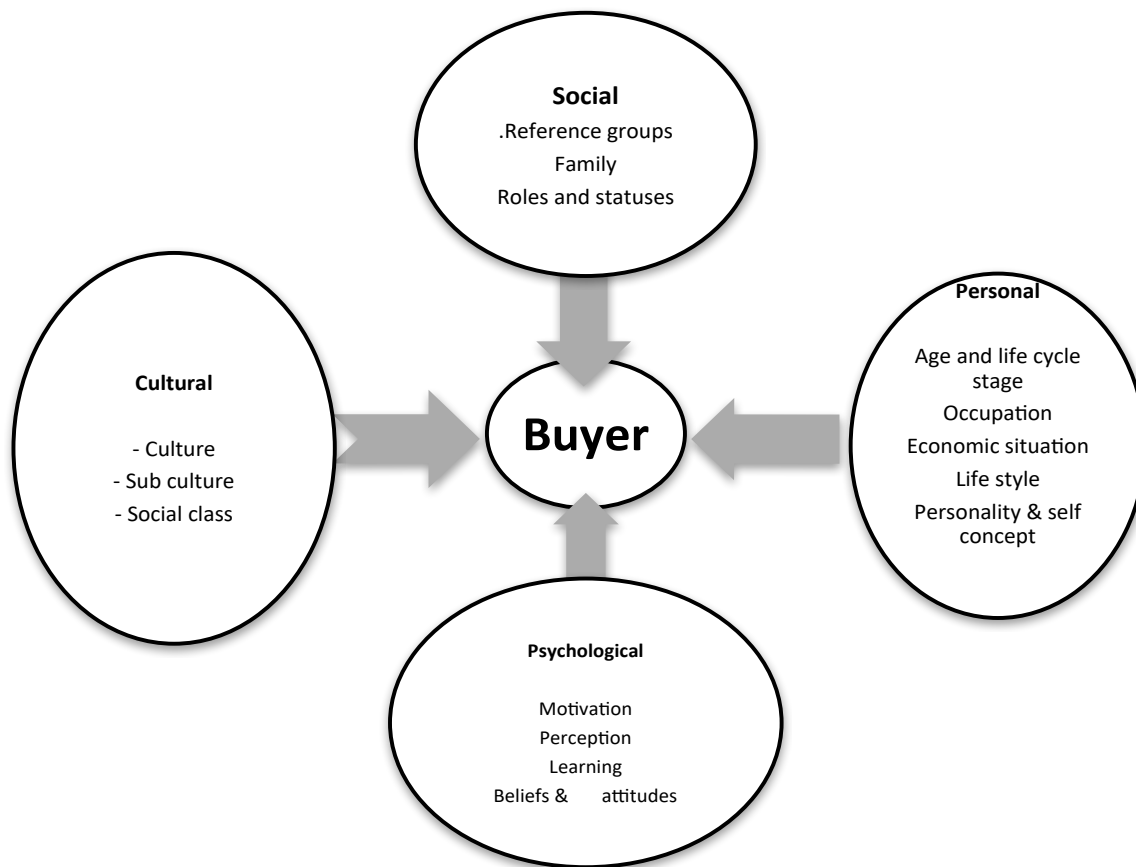
The following picture shows factors that affect or influence the buying behavior of consumers.

a) Cultural Factors

Cultural factors exert the broadest and deepest influence on consumer behavior. The roles played by the buyers culture, subculture, and social class are particularly important.

1. **Culture:** Is the most basic cause of a person's wants and behavior. Human behavior is largely learned. Growing up in a society, a child learns basic values, perceptions, wants, and behaviors from the family and other important institutions.

2. **Subculture:** Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations. Subcultures include nationalities, religions, racial groups, and geographic regions. Many subcultures make up important market segments, and marketers often design products and marketing programs tailored to their needs.
3. **Social class:** Virtually all human societies exhibit social stratification. Social classes are relatively, homogeneous, and enduring divisions in a society. Which are hierarchically ordered and whose members share stimuli values, interests, and behavior. Social classes do not reflect income alone but also other indicators such as occupation education, and area of residence. Social classes differ in their dress, speech patterns, recreational preferences, and many other characteristics. Social classes show distinct product and brand preferences in many areas.



b) Social Factors

In addition to cultural factors, a consumer's behavior is influenced by social factors such as reference groups, family, and roles and statuses.

1. **Reference Groups:** Many groups influence a person's behavior. A person's Reference Groups consist of all the groups that have a direct (face-to-face) or indirect influence on the person's attitudes or behavior. Groups having a direct influence on a person are called membership groups.

Some membership groups are primary groups, such as family, friends, neighbors, and coworkers, with whom the person interacts, fairly, continuously and informally. People also belong to secondary groups, such as religious, professional, and trade union groups, which tend to be more formal and require less continuous interaction.

Marketers try to identify the reference groups of their target markets. Reference groups expose a person to new behaviors and lifestyles, influence the person's attitudes and self-concept, and create pressures to conform that may affect the person's product and brand choices. The importance of group influence varies across products and brands. It tends to be strongest when the product is visible to others whom the buyer respects.

Manufacturers of products and brands subjected to strong group influence must figure out how to reach opinion leaders-people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert social influence on others.

2. **Family:** Family members can strongly influence buyer behavior. The family is the most important consumer buying organization in society, and it has been researched extensively. Marketers are interested in the roles and influence of the husband, wife, and children on the purchase of different products and services. These roles vary widely in different countries and social classes.

We can distinguish between two families in the buyer's life. The family of orientation consists of one's parents. From parents a person acquires an orientation toward religion, politics, and economics and a sense of personal ambition, self-worth, and love. Even if the buyer no longer interacts very much with his or her parents, the parents' influence on the buyer's behavior can be significant. A more direct influence on everyday buying behavior is one's family of procreation namely, one's spouse and children.

3. **Roles and Statuses:** A person belongs to different groups-family, clubs, and organizations. The person's position in each group can be defined in terms of both role and status. A role consists of the activities people are expected to perform according to the persons around them. Each role carries a status reflecting the general esteem given to it by society. People usually choose products appropriate to their roles and status. Consider the various roles a working mother play. In her company, she plays the role of a brand manager; in her family, she plays the role of wife and mother; at her favorite sporting events, she plays the role of avid fan. As a brand manager, she will buy the kind of clothing that reflects her role and status in her company.

c) Personal Factors

A buyer's decisions also are influenced by personal characteristics such as the buyer's age and life-cycle stage, occupation, economic situation, lifestyle, and personality and self-concept.

1. **Age and Life cycle stage:** People change the goods and services they buy over their lifetimes. Tastes in food, clothes, furniture, and recreation are often age related. Buying is also shaped by the stage of the family life cycle-the stages through which families might pass as they mature over time. Marketers often define their target markets in terms of life-cycle stage and develop appropriate products and marketing plans for each stage.
2. **Occupation:** A person's occupation affects the goods and services bought; Blue-collar workers tend to buy more rugged work clothes, whereas executives (White-collars) buy more business suits. Marketers try to identify the occupational groups that have an above-average interest in their products and services. A company can even specialize in making products needed by a given occupational group.
3. **Economic Situation:** A person's economic situation will affect product choice. Marketers of income-sensitive goods watch trends in personal income, savings, and interest rates. If economic indicators point to a recession, marketers can take steps to redesign, reposition, and re-price their products closely. Some marketers target consumers who have lots of money and resources, charging prices to match.
4. **Lifestyle:** People coming from the same subculture, social class, and occupation may have quite different lifestyles. Life style is a person's pattern of living as expressed in his or her psychographics. It involves consumers' major activities (work, hobbies, shopping, sports, social events), interests (food, fashion, family, recreation), and opinions (about themselves,

social issues, business, products). Lifestyle captures something more than the person's social class or personality. It profiles a person's whole pattern of acting and interacting in the world. When used carefully, the lifestyle concept can help marketers understand changing consumer values and how they affect buying behavior.

5. **Personality and self-concept:** Each person's distinct personality influence his or her buying behavior. Personality refers to the unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment. Personality is usually described in terms of traits such as self-confidence, dominance, sociability, autonomy, defensiveness, adaptability, and aggressiveness. Personality can be useful in analyzing consumer behavior for certain product or brand choices. Related to personality is a person's self-concept (or self-image)- how he views himself. A person's self-image has an impact in his/her choice of brands. Marketers try to develop brand images that match the target market's self-image.

d) Psychological Factors

A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

1. **Motivation:** A person has many needs at any given time. Some are biological, arising from states of tension such as hunger, thirst, or discomfort. Others are psychological, arising from the need for recognition, esteem, or belonging. A need becomes a motive when it is aroused to a sufficient level of intensity. A motive(or drive) is a need that is sufficiently pressing to direct the person to seek satisfaction.
2. **Perception:** A motivated person is ready to act. How the person acts is influenced by his or her own perception of the situation. All of us learn by the flow of information through our five senses: sight, hearing, smell, touch, and taste. However, each of us receives, organizes, and interprets this sensory information in an individual way. Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

The key word in the definition of perception is "individual". Why do people perceive the same situation differently? People can emerge with different perceptions of the same object because of three perceptual processes: selective attention, selective distortion, and selective

retention. As a result, people may not necessarily see or hear the message that a marketer wants to send. Marketers must therefore be careful to take these perceptual processes into account in designing their marketing campaigns.

- 3. Learning:** When people act, they learn. Learning describes changes in an individual's behavior arising from experience. Learning theorists say that most human behavior is learned. Learning occurs through the interplay of drives, stimuli, cues, responses, and reinforcement.

Learning theory teaches marketers that they can build up demand for a product by associating it with strong drives. Using motivating cues, and providing positive reinforcement, a new company can enter the market by appealing to the same arrives that competitor's use and providing similar cue configurations because buyers are more likely to transfer loyalty to similar brands than to dissimilar brands (generalization). Or the company might design its brand to appeal to a different set of drives and offer strong cue inducements to switch (discrimination).

- 4. Beliefs and Attitudes:** Through doing and learning, people acquire beliefs and attitudes. These, in turn, influence their buying behavior. A belief is a descriptive thought that a person has about something. Beliefs may be based on real knowledge, opinion, or faith. Marketers are interested in the beliefs that people formulate about specific products and services, because these beliefs make up product and brand images that affect buying behavior. If some of the beliefs are wrong and prevent purchase, the marketer will want to launch a campaign to correct them.

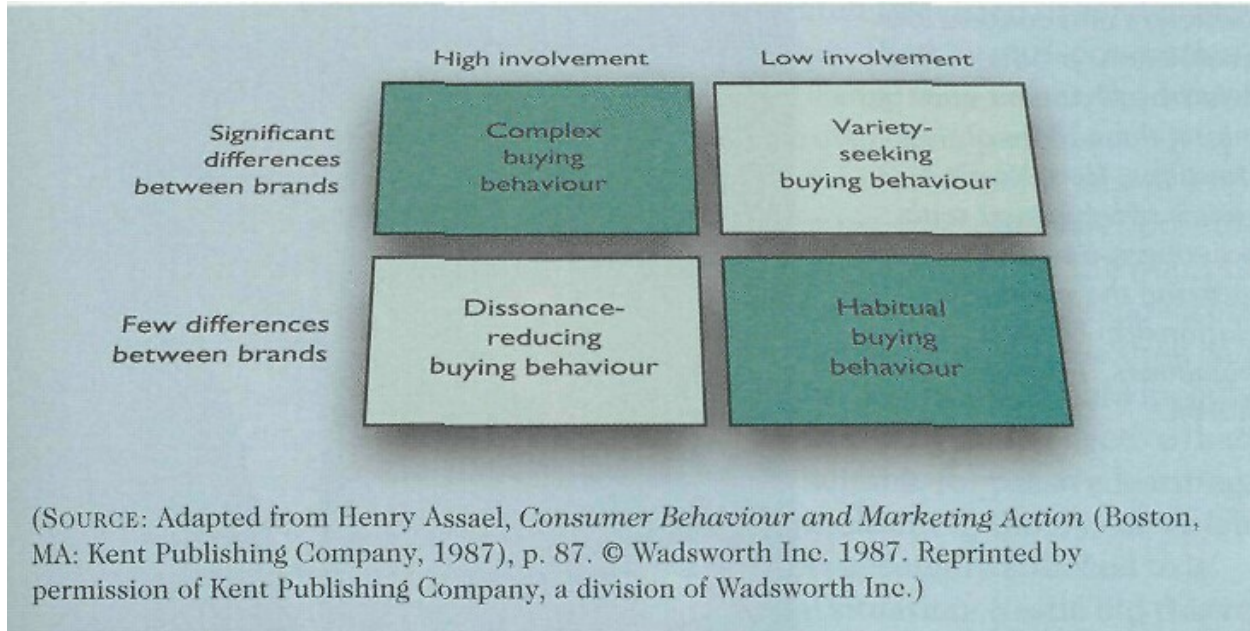
People have attitudes regarding religion, politics, clothes, music, food, and almost everything else. Attitude describes a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea. Attitudes put people into a frame of mind of liking or disliking things, of moving toward or away from them.

Attitudes are very difficult to change. Thus, a company would be well advised to fit its product into existing attitudes rather than to try to change people's attitudes. Of course, there are exceptions where the great cost of trying to change attitudes might payoff.

Q. Discuss how the above four group of factors affect consumer buying behavior

3.4 Types of Buying Decision Behavior

Based on the degree of buyer involvement and the degree of differences among brands there are four types of buying decision behavior.



Level of buyer involvement

1. Complex Buying Behavior:

Consumers undertake complex buying behavior when they are highly involved in a purchase and perceive significant differences among brands. Consumers may be highly involved when the product is – expensive, risky, purchased infrequently, and highly self-expressive. Typically, the consumer has much to learn about the product category.

Marketers of high-involvement products must understand the information- gathering and evaluation behavior of high- involvement consumers.

2. Dissonance - Reducing Buying Behavior:

Dissonance reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase, but see little difference among brands. After the purchase consumers might experience post purchase dissonance (after sale discomfort) when they notice certain disadvantages of the brand or heard favorable things about the brand not purchased.

To counter such dissonance, the marketer's after sale communications should provide evidence and support to help consumers feel good about their brand choices.

3. Habitual Buying Behavior:

Habitual buying behavior occurs under conditions of low consumer involvement and little significant brand difference. Consumers do not search extensively for information about the brands, do not evaluate brand characteristics and make weighty decisions about which brands to buy. They passively receive information as they watch television or read magazines.

Because buyers are not highly committed to any brands, marketers often use price and sales promotions to stimulate product trial.

4. Variety- Seeking Buying Behavior:

Consumers undertake variety- seeking buying behavior in situations characterized by low consumer involvement but significant perceived brand differences. In such cases, consumers often do a lot of brand switching.

Q. Explain the four types buying behavior with practical example

3.5 The Buyer Decision Process

To reach a buying decision buyers pass through certain stages; and it is called the buyer decision process

In the buyer decision process, there are five basic stages:

1. Need recognition

The buying process starts when the buyer recognizes a problem or need. The buyer senses a difference between his or her actual state and a desired state. The need can be triggered by internal or external stimuli. In the former case, one of the person's normal needs hunger and thirst – rises to a threshold level and becomes a drive. In the latter case, a need is aroused by an external stimulus. A person passes a bakery and sees freshly baked bread that stimulates her hunger, she admires a neighbor's new car, or she watches a television commercial advertising a beauty product.

Marketers need to identify the circumstances that trigger a particular need. By gathering information from a number of consumers, marketers can identify the most frequent stimuli that flash an interest in a product category. The marketer can then develop marketing strategies that trigger consumer interest.

2. Information search

The aroused consumer will be inclined to search for more information. We can distinguish between two levels of arousal. The *heightened attention*, at this level, for example a woman interested in buying a computer simply becomes more receptive to information about computers. She pays attention to computer advertisement, purchased by friends and conversation about computers.

At the next level, the Woman may enter *active information search*. She actually looks for reading material, phones friends, and engages in other activities to learn about computers.

Of key interest to the marketer are the major information sources to which the consumer will turn and the relative influence each will have on the subsequent purchase decision. Consumer information sources fall into four groups:

- *Personal Source*: Family, friends, neighbors, and acquaintances
- *Commercial source*: Advertising, salespersons, dealers, packaging, displays
- *Public Source*: Mass media
- *Experiential Source*: Handling, examining, using the product

The relative amount and influence of these information sources vary with the product category and the buyer's characteristics.

3. Evaluation of alternatives

How does the consumer process competitive brand information and make a final judgment of value? There is no simple and single evaluation process used by all consumers or by one consumer in all buying situations.

Some basic concepts will help us understand consumer evaluation processes: first, the consumer is trying to satisfy a need. Second, the consumer is looking for certain benefits from the product solution. Third, the consumer sees each product as a bundle of attributes with varying abilities of delivering the benefits sought to satisfy this need. The attributes of interest to buyers vary by product:

- *Cameras*: Picture sharpness camera speeds, camera size, price
- *Hotels*: Location, cleanliness, atmosphere, price
- *Tires*: Safety, tread life, ride quality, price

Consumers differ as to which product attributes they see as most relevant as well as on the importance of weights they attach to each attribute. They will pay the most attention to the attributes that deliver the sought benefits.

4. Purchase decision

In the evaluation stage, the consumer forms preferences among the brands in the choice set. The consumer may also form an intention to buy the most preferred brand. However, two factors can intervene between the purchase intention and the purchase decision.

The first factor is the attitude of others. The extent to which another person's attitude reduces one's preferred alternative depends on two things: (1) the intensity of the person's negative attitude towards the consumer's preferred alternative and (2) the consumer's motivation to comply with the other person's wishes. The more intense the other person's negativism and the closer the other person are to the consumer, the more the consumer will adjust his or her purchase intention. The converse is also true.

5. Post purchase behavior

After purchasing the product, the consumer will experience some level of satisfaction or dissatisfaction. The marketer's job does not end when the product is bought but continues into the post purchase period. Marketers must monitor post purchase satisfaction, post purchase actions, and post purchase product use.

Post purchase satisfaction: After purchasing the product, a consumer may detect a flaw. Some buyers will no longer want the flawed product. Some flaws can be dangerous to consumers. Comprise making such products as automobiles, tires, packaged food, and pharmaceuticals have the chance of injuring users.

What determines whether the buyer will be highly satisfied, somewhat satisfied, or dissatisfied with a purchase? The buyer's satisfaction is a function of the closeness between the buyer's product expectation and the product's perceived performance. make a difference is whether the customer buys the product again and takes favorably or unfavorably about the product to others.

Post purchase actions: The consumers' satisfaction or dissatisfaction with product will influence subsequent behavior. If the consumer is satisfied, he or she will exhibit a higher probability of purchasing the product again. The satisfied customer will also lend to say good things about the brand to others. Marketers say: "Our best advertisement is a satisfied customer ". Dissatisfied consumers respond differently. They may abandon or return the product.

Marketers should take steps to minimize the amount of consumer post purchase dissatisfaction.

Q. Distinguish the relevance of understanding the buyer decision process

The Business Market versus the Consumer Market

The business market consists of all the organizations that acquire goods and services used in the production of other products or services that are sold, rented, or supplied to others. The major industries making up the business market are agriculture, forestry, and fisheries; mining; manufacturing; construction; transportation; communication; public utilities; banking, finance, and insurance; distribution; and services.

Business markets have several characteristics that contrast sharply with those of consumer markets:

- **Fewer, larger buyers:** Even in large business markets, a few buyers often account for most of the purchasing.
- **Close supplier-customer:**
- **Professional:** Often, business buying is done by trained purchasing agents who spend their working lives learning how to buy better.
- **Several buying influences:** Compared with consumer purchases, a business purchase usually involves more decision participants
- **Derived demand:** business demand is derived demand-it ultimately derives from the demand for consumer goods.
- **Inelastic demand:** that is, total demand for many business products is not affected much by price changes, especially in the short run.
- **Fluctuating demand:** The demand for many business goods and services tends to change more-and more quickly-than the demand for consumer goods and services does. A small percentage increase in consumer demand can cause large increases in business demand. Sometimes a rise of only 10 percent in consumer demand can cause as much as a 200 percent rise in business demand during the next period.
- **Geographically concentrated buyers:** Business markets are also more geographically concentrated.

Buying Situations

There are three types of buying situations: the straight re-buy, modified re-buy, and new task.

- **Straight rebuy:** The purchasing department reorders on a routine basis (e.g., office supplies, bulk chemicals) and chooses from suppliers on an "approved list."
- ❖ In a straight re-buy, the buyer reorders something without any modifications. It is usually handled on a routine basis by the purchasing department. Based on past buying satisfaction, the buyer simply chooses from the various suppliers on its list. "In" suppliers try to maintain product and service quality. "Out" suppliers try to find new ways to add value or exploit dissatisfaction so that the buyer will consider them.
- **Modified re-buy:** The buyer wants to modify product specifications, prices, delivery requirements, or other terms.
- ❖ In a modified re-buy, the buyer wants to modify product specifications, prices, terms, or suppliers. The modified re-buy usually involves more decision participants than does the straight re-buy. The "in" suppliers may become nervous and feel pressured to put their best foot forward to protect an account. "Out" suppliers may see the modified re-buy situation as an opportunity to make a better offer and gain new business.
- **New task purchase:** A purchaser buys a product or service for the first time (e.g., office building, new security system).
- ❖ A company buying a product or service for the first time faces a new-task situation. In such cases, the greater the cost or risk, the larger the number of decision participants and the greater their efforts to collect information will be. The new-task situation is the marketer's greatest opportunity and challenge. The marketer not only tries to reach as many key buying influences as possible but also provides help and information.

The buyer makes the fewest decisions in the straight re-buy and the most in the new-task decision. In the new-task situation, the buyer must decide on product specifications, suppliers, price limits, payment terms, order quantities, delivery times, and service terms. The order of these decisions varies with each situation, and different decision participants influence each choice.

Stages of Business Buying Process

At this point we are ready to describe the general stages in the business buying decision process.

Business buying process passes through the following stages

1. Problem Recognition

The buying process begins when someone in the company recognizes a problem or need that can be met by acquiring a specific product or service. Problem recognition can result from internal or external stimuli. Internally, the company may decide to launch a new product that requires new production equipment and materials. Or a machine may break down and need new parts. Perhaps a purchasing manager is unhappy with a current supplier's product quality, service, or prices. Externally, the buyer may get some new ideas at a trade show, see an advertisement, or receive a call from a salesperson who offers a better product or a lower price. In fact, in their advertising, business marketers often alert customers to potential problems and then show how their products provide solutions.

2. General Need Description and Product Specification

Having recognized a need, the buyer next prepares a general need description that describes the characteristics and quantity of the needed item. For standard items, this process presents few problems. For complex items, however, the buyer may need to work with others—engineers, users, consultants—to define the item. The team may want to rank the importance of reliability, durability, price, and other attributes desired in the item. In this phase, the alert business marketer can help the buyers define their needs and provide information about the value of different product characteristics.

The buying organization next develops the item's technical product specifications, often with the help of a value analysis engineering team. Value analysis is an approach to cost reduction in which components are studied carefully to determine if they can be redesigned, standardized, or made by less costly methods of production. The team decides on the best product characteristics and specifies them accordingly.

3. Supplier Search

The buyer now conducts a supplier search to find the best vendors. The buyer can compile a small list of qualified suppliers by reviewing trade directories, doing computer searches, or phoning

other companies for recommendations. Today, more and more companies are turning to the Internet to find suppliers. For marketers, this has leveled the playing field-the Internet gives smaller suppliers many of the same advantages as larger competitors.

The newer the buying task, and the more complex and costly the item, the greater the amount of time the buyer will spend searching for suppliers. The supplier's task is to get listed in major directories and build a good reputation in the marketplace. Salespeople should watch for companies in the process of searching for suppliers and make certain that their firm is considered.

4. Proposal Solicitation

In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals. In response, some suppliers will send only a catalog or a salesperson. However, when the item is complex or expensive, the buyer will usually require detailed written proposals or formal presentations from each potential supplier. Business marketers must be skilled in researching, writing, and presenting proposals in response to buyer proposal solicitations. Proposals should be marketing documents, not just technical documents. Presentations should inspire confidence and should make the marketer's company stand out from the competition.

5. Supplier Selection

The members of the buying center now review the proposals and select a supplier or suppliers. During supplier selection, the buying center often will draw up a list of the desired supplier attributes and their relative importance. In one survey, purchasing executives listed the following attributes as most important in influencing the relationship between supplier and customer: quality products and services, on-time delivery, ethical corporate behavior, honest communication, and competitive prices. Other important factors include repair and servicing capabilities, technical aid and advice, geographic location, performance history, and reputation. The members of the buying center will rate suppliers against these attributes and identify the best suppliers. Buyers may attempt to negotiate with preferred suppliers for better prices and terms before making the final selections. In the end, they may select a single supplier or a few suppliers. Many buyers prefer multiple sources of supplies to avoid being totally dependent on one supplier and to allow comparisons of prices and performance of several suppliers over time.

6. Order-Routine Specification

The buyer now prepares an order-routine specification. It includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected time of delivery, return policies, and warranties. In the case of maintenance, repair, and operating items, buyers may use blanket contracts rather than periodic purchase orders. A blanket contract creates a long-term relationship in which the supplier promises to resupply the buyer as needed at agreed prices for a set time period.

7. Performance Review

In this stage, the buyer reviews supplier performance, the buyer may contact users and ask them to rate their satisfaction. The performance review may lead the buyer to continue, modify, or drop the arrangement. The seller's job is to monitor the same factors used by the buyer to make sure that the seller is giving the expected satisfaction.

The eight-stage buying-process model provides a simple view of the business buying as it might occur in a new-task buying situation. The actual process is usually much more complex. In the modified re-buy or straight re-buy situation, some of these stages would be compressed or bypassed. Each-organization buys in its own way, and each buying situation has unique requirements. Different buying center participants may be involved at different stages of the process. Although certain buying-process steps usually do occur, buyers do not always follow them in the same order, and they may add other steps. Often, buyers will repeat certain stages of the proces

Chapter Four

Market Segmentation, Targeting and Positioning

Unit description

This chapter deals with definition of market segmentation, importance of market segmentation, market segmentation procedure, levels of market segmentation, basis for segmentation, market targeting and market positioning. To deliver these contents, active learning methods such as brain storming interactive lecture, group discussion, and independent learning will be used. And also to assess students' achievement, continuous assessments such as quiz, test, class activities & assignments will be used.

4.1 Segmentation

Markets consist of buyers, and buyers differ in one or more ways; in their wants, resources, locations, buying attitudes and buying practices. Through market segmentation companies divide large heterogeneous markets into smaller segments that can be reached more efficiently with products and services that match their unique needs.

Market segmentation is the process of dividing the total market for a good or service into several smaller, internally homogeneous groups. It is the activity of dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes. The essence of segmentation is that members of each group are similar with respect to the factors that influence demand. A major element in a company's success is the ability to segment its markets effectively. In segmenting, one first identifies the wants of the customers within sub market and then decides if it is practical to develop a marketing mix to satisfy those wants.

Requirements for Effective Segmentation

To be useful market segments must be:

i. Measurable

The size, purchasing power, and profiles of the segments can be measured. Certain segmentation variables are difficult to measure. For example, there are 32.5 million left-handed people in the United States-almost equaling the entire population of Canada. Yet few products are targeted

toward this left-handed segment. The major problem may be that the segment is hard to identify and measure. There are no data on the demographics of lefties.

ii. Accessible

The market segments can be effectively reached and served. It must be accessible for the existing market institutions- middle men, advertising media, company sales force with a minimum cost. Unless a group of customer lives or shops at certain places and is exposed to certain media, its members will be difficult to reach.

iii. Substantial (Significant):

The market segments are large or profitable enough to serve. A segment should be the largest possible homogenous group worth pursuing with a tailored marketing program.

iv. Differentiable

The segments are conceptually distinguishable and respond differently to different marketing mix elements and programs. If married and unmarried women respond similarly to a sale on perfume, they do not constitute separate segments.

v. Actionable (Achievable):

Effective programs can be designed for attracting and serving the segments. For example, although one small airline identified seven market segments, its staff was too small to develop separate marketing programs for each segment.

Bases For-segmenting Consumer Markets

There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure. Major variables used in segmenting consumer markets are:

I. Geographic Segmentation

Is the basis for dividing a market in to different geographical units such as nations, states, regions, counties, cities where people live and work. The reason for this is simply that consumers' wants and product usage often are related to one or more of these subcategories. When a company decides to serve (operate in) one geographical site it should focus its operations on differences in needs and wants of that site. Many companies today are localizing their products, advertising promotion and sales efforts to fit the needs of individual regions, cities, and even neighborhoods.

II. Demographic Segmentation

Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality. Demographic factors are the most popular bases for segmenting customer groups. One reason is that consumer needs, wants, and usage rates often vary closely with demographic variables. Another is that demographic variables are easier to measure than most other types of variables. Even when market segments are first defined using other bases, such as benefits sought or behavior, their demographic characteristics must be known in order to assess the size of the target market and to reach it efficiently. Let us see some of the demographic variables used in segmentation.

Age and Life-cycle stage: Consumer needs and wants change with age. Some companies use age and life-cycle segmentation, offering different products or using different marketing approaches for different age and life-cycle groups. For example, McDonald's targets different age groups—from children and teens to adults and seniors—with different advertisements and media.

Persons in the same age may differ in their life stage. Life stage defines a person's major concern, such as going through a divorce, going into a second marriage, taking care of an older parent, deciding to cohabit with other person, deciding to buy a new home, and so on. These life stages present opportunities for marketers who can help people cope with their major concerns.

Gender segmentation: Dividing a market into different groups based on gender. Men and women tend to have different attitudinal and behavioral orientations, based partly on genetic makeup and partly on socialization practices. Women tend to be more communal-minded and men tend to be more self-expressive and goal-directed. Gender differentiation has long been applied in clothing, hairstyling, cosmetics, and magazines. Some products have been positioned as more masculine or feminine.

Income segmentation: Dividing a market into different income groups and has long been used by the marketers of products and services such as automobiles, clothing, cosmetics, financial services, and travel. Many companies target affluent consumers with luxury goods and convenience services.

III. Psychographics Segmentation

Divides buyers into different groups based on social class, lifestyle, or personality characteristics. People in the same demographic group can have very different psychographic make ups. Markets will be segmented based on attitude of consumers towards the use of the product. Marketers engaged in psychographic segmentation which involves examining attributes related to how a person thinks, feels and behaves.

IV. Behavioral Segmentation

Divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product. Many marketers believe that behavior variables are the best starting point for building market segments.

Examples of behavioral segmentation variables can be:

Benefits desired: A powerful form of segmentation is to group buyers according to the different benefits that they seek from the product. Benefit segmentation requires finding the major benefits people look for in the product class, the kinds of people who look for each benefit, and the major brands that deliver each benefit. For example, Tooth paste may be bought for flavor, dental care, foam etc, laundry may be needed for fresh smell, quality wash etc.

User status: Markets can be segmented into groups of non-users, ex-users, potential users, first time users, and regular (actual) users of a product. Market share leaders focus on attracting potential users, whereas smaller firms focus on attracting current users away from the market leader. Large companies focus on attracting new customers while small companies focus on maintaining regular buyers rather than attracting new one.

Usage rate: Markets can also be segmented into light, medium, and heavy product users.

Category	No. of buyers (market size)	Consumption rate
Heavy product users	10-20%	> 50%
Medium product users	30-40%	25-30%
Light product users	>50%	10-20%

Most companies target heavy users and pay attention on their treatment. Heavy users are often a small percentage of the market but account for a high percentage of the total consumption. For example, heavy beer drinkers account for some 80 -90% of beer consumed- almost seven times as

much as the light beer drinkers. Marketers would rather attract one heavy user than several light users.

Loyalty Status: Markets can also be segmented by consumer loyalty. Buyers can be divided into groups according to their degree of loyalty- hardcore loyal, split loyal, shift loyal, switchers are types of consumers based on their loyalty.

Hard core loyal: Remain very loyal to a particular brand-buy always the same brand.

Split loyal consumers: Are loyal to two or three brands of a given product. They favor one brand while sometimes buying others.

Shifting loyal consumers: Use a given brand for some time and then shift to another after a period of time.

Switchers: No loyalty to any brand, they seek new brand every time. They may want something new (different) each time they buy or they buy whatever's on sale.

A company can learn a lot by analyzing loyalty patterns in its market. It should start by studying its own loyal customers. For example, to better understand the needs and behaviors of its core soft drink consumers, Pepsi observed them in places where its products are consumed-in homes, stores, in movie theatres, at sporting events and at the beach.”

By studying its less loyal buyers, the company can detect which brands are most competitive with its own. If many Pepsi buyers also buy Coke, Pepsi can attempt to improve its positioning against Coke, possibly by using direct comparison advertising. By looking at customers who are shifting away from its brand, the company can learn about its marketing weaknesses. For non-loyal, the company may attract them by putting its brand on sale.

Buyer's Readiness stage: A market consists of people in different stages of readiness to buy a product. Some are unaware of the product, some are aware, some are interested, and some intend to buy it.

Unaware: No information about the product, so first design awareness creation advertising packages.

Aware: There is no need for awareness advertisements

Interested: Aware and also identify the benefits.

Intend to buy: Less marketing task is required; slight motivation may lead to purchase decision.

4.2 Targeting

Market targeting refers to deciding to serve one or more market segments.

Market segmentation reveals the firm's market segment opportunities. The firm now must evaluate the various segments and decide how many and which segments it can serve best. We now look at how companies evaluate and select target segments.

Process of Market Targeting

The process of market targeting involves the following steps.

1. ***Evaluating market segments*** which involves

In evaluating different market segments, a firm must look at three basic factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

✓ **Segment size and growth:**

Over the long run, a business firm must generate a profit to survive. That is an organization should seek markets that will generate sufficient sales volume at low enough cost to result in a profit. It must first collect and analyze data on current segment sales, growth rates and expected profitability for various segments.

✓ **Segment structural attractiveness:**

A company ordinarily should seek a market segments where there are the least and smallest competitors. A seller should not enter a market that is already saturated with competition unless it has some overriding differential advantage that will enable it to take customers from existing firms. Market is less attractive if it already contains many strong competitors. An existence of many actual or potential substitute products and buyers with strong bargaining power also reduces attractiveness of the market. So, it is no worth to prefer these types of markets to other to serve.

✓ **Company objectives and resources:**

The market segment to be targeted should also be consistent with firm's long run objectives and resources. That is, the market opportunities represented in the target markets should be in harmony with company's resources. A company should consider whether it has the skills, expertise

knowledge and resources needed to successfully operate in a specific market segment. If the company has no enough strengths needed to compete successfully in a segment and cannot readily obtain them, it should not enter the segment. In case the company possesses the required skills, it should employ the skills more than competitors to win the competition; otherwise, it is still good not to enter.

Target Market Selection Strategies

The next activity after evaluating the segments is to decide on which and how many segments to target. The company should not suffer from overcapacity or incapacity in an effort exerted to satisfy the needs. The company should enter only segments in which it can offer superior value and gain advantages over its rivals. Having evaluated different segments, the company can consider five patterns of target market selection strategies.

2. Selecting the Market Segments the selection can be

i. Single – Segment Concentration/Concentrated Marketing/

Many companies concentrate on a single segment. Through concentrated marketing, the firm gains a thorough understanding of the segment's needs and achieves a strong market presence. Furthermore, the firm enjoys operating economies by specializing its production, distribution, and promotion; if it attains segment leadership, it can earn a high return on its investment. However, concentrated marketing involves higher than normal risks if the segment turns sour or a competitor may invade the segment, consumers shift from one place to another. For these reasons, many companies prefer to operate in more than one segment.

	p ₁	p ₂	p ₃
M ₁			
M ₂			
M ₃			

Satisfying the needs and wants of market 2 with product 2.

ii. Selective Specialization/Differentiated Marketing/

Here the firm selects a number of segments, each objectively attractive and appropriate. There may be little or no synergy among the segments, but each segment promises to be a moneymaker. This multi segment coverage strategy has the advantage of diversifying the firm's risk.

p ₁	p ₂	p ₃	
			M ₁ and p ₁

44

			M ₁ and p ₁
			M ₂ and p ₂ are selectively specialized targets.
M ₃ and p ₁			

iv) Product Specialization

Another approach is to specialize in making a certain product for several segments. An example would be a microscope manufacturer that sells microscopes to university laboratories, government laboratories, and commercial laboratories. The firm makes different microscopes for different customer groups but does not manufacture other instruments that laboratories might use. Through a product specialization strategy, the firm builds a strong reputation in the specific product area. The downside risk is that the product may be supplanted by an entirely new technology.

	P ₁	P ₂	P ₃
M ₁			
M ₂			
M ₃			

Serving different market segments using the same product (M₁, M₂, M₃ = P₂).

v) Market specialization

With market specialization, the firm concentrates on serving many needs of a particular customer group. An example would be a firm that sells an assortment of products only to university laboratories, including microscopes, chemical flasks and others. The firm gains a strong reputation in serving this customer group and becomes a channel for additional products that the customer group can use. However, the downside risk is that the customer group may suffer budget cuts or shrink in size.

	P ₁	P ₂	P ₃
M ₁			
M ₂			
M ₃			

Serving the same market segment using different products (P₁, P₂, P₃ = M₃)

vi) Full Market Coverage/Mass Marketing/Undifferentiated Marketing

Here a firm attempts to serve all customer groups with all of the products they might need. By adopting a mass marketing strategy, seller treats its total market as a single segment. An aggregate

market's members are considered to be alike with respect to demand for the product. That is, customers may make some compromises on less important dimensions in order to enjoy the primary benefit the product offers. Even though the notion of mass marketing is relatively uncommon, a firm may select the strategy after examining market segments and concluding that the majority of customers in the total market are likely to respond in very similar fashion to one marketing mix.

The strategy is more workable for firms that are marketing undifferentiated staple products. (E.g. Salt, Sugar, Gasoline). The mass marketing strategy is usually accompanied by the product differentiation which occurs when, in eyes of the customer, one firm distinguishes its products from competitive brands offered to the same aggregate market. General need is given attention and minor difference is ignored. Products are standardized and production costs are relatively lower.

vii) Micro Marketing

Micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Micromarketing includes local marketing and individual marketing.

➤ Local marketing

Local marketing involves tailoring brands and promotions to the needs and wants of local customer groups – cities, neighborhoods and even specific stores. Those favoring localizing a company's marketing see national advertising as wasteful because it fails to address local needs. Those against local marketing argue that it drives up manufacturing and marketing costs by reducing economies of scale. Logistical problems become magnified when companies try to meet local requirements. A brand's overall image might be diluted if the product and message differ in different localities.

Local marketing helps a company to market more effectively in the face of pronounced regional and local differences in community demographics and lifestyles. It also meets the needs of the company's 'first-line customers' – retailers – who prefer more fine-tuned product assortments for their neighborhoods. It maintains local variety and color, but at a cost.

➤ Individual marketing

In the extreme, micromarketing becomes individual marketing – tailoring products and marketing programs to the needs and preferences of individual customers. Individual marketing has also been

labeled ‘segments of one’, ‘customized marketing’ and ‘one-to-one marketing’.

New technologies are permitting many larger companies to return to customized marketing. More powerful computers, detailed databases, robotic production, and immediate and interactive communication media such as email, fax and the Internet – all have combined to foster ‘mass customization’. Mass-customization is the ability of a company to prepare on a mass basis individually designed products, services, programs and communications, to meet each customer’s requirements. Today customers are taking more individual initiative in determining what and how to buy.

3. Choosing a Market – Coverage Strategy

Many factors need to be considered when choosing a market coverage strategy. Which strategy is best depending on:

- i. *Company resources*
- ii. *The degree of product variability*
- iii. *The products life-cycle stage*
- iv. *Market variability*
- v. *Competitor’s marketing strategies*

4.3 Positioning

Positioning is the act of designing the company's offering and image so that they occupy a meaningful and distinct competitive position in the target customer's mind.

A product's position is the way the product is defined by consumers on important attributes – the place the product occupies in consumers' minds relative to competing products. A firm's competitive advantage and its product's position can be quite different. A competitive advantage is the strength of a company, while a product's position is a prospect's perception of a product. A competitive advantage, like low costs or high quality, could influence a product's position, but in many cases, it is not central to it. Positioning is not what you do to a product but what you do to the mind of the prospect.

Consumers are overloaded with information about products and services. They cannot re-evaluate products every time they make a buying decision. To simplify buying decision making, consumers organize products into categories – that is, they 'position' products, services and companies in their minds. A product's position is the complex set of perceptions, impressions and feelings that consumers hold for the product compared with competing products. Consumers position products with or without the help of marketers. But marketers do not want to leave their products' positions to chance. They plan positions that will give their products the greatest advantage in selected target markets, and they design marketing mixes to create these planned positions.

Some firms find it easy choose their positioning strategy for example a firm well known for quality in certain segments will go for this position in a new segment if there are enough buyers seeking quality. Many positions are available for firm to adopt. These may include 'low-price position', 'high quality position', 'high-service position' and so on. Essentially, the firm is trying to establish a competitive advantage that it hopes will appeal to a substantial number of the segment's customers.

Rolex is thought of as the world's top watch, Coca-Cola as the world's largest soft-drink company, and so on. These brands own those positions and it would be hard for a competitor to steal them.

Positioning Strategies

Consumers typically choose products and services that give them the greatest value. Thus, marketers want to position their brands on the key benefits that they offer relative to competing brands. The full positioning of a brand is called the brand's value proposition- the full mix of benefits upon which the brand is positioned. It is the answer to the customer's question "Why should I buy your brand?"

A company must decide how many ideas (e.g. benefits, features) to convey in its positioning to its target customers. Many marketers advocate promoting only one central benefit. One central benefit positioning makes it easier for communication to the target market; it results in employees being clearer about what counts; and it makes it easier to align the whole organization with the central positioning.

The brand should tout itself as "number one", on the benefit it selects. Number-one positioning include" best quality", "best performance", best service", "best styling," "best value", "lowest prices," "safest," "fastest," "most convenient," etc. If a company consistently hammers away at one positioning and delivers on it, it will probably be best known and recalled for this benefit.

Marketers can follow several positioning strategies. They can position their products on specific product attributes such as low price, performance, benefits, usage occasions, against a competitor and combination of many attribute. Each firm must differentiate its offer by building a unique bundle of competitive advantages that appeal to a substantial group within the segment. The positioning task consists of three steps.

1. Identifying a set of possible competitive advantages on which to build a position.
2. Selecting the right competitive advantages
3. Effectively communicating and delivering the chosen position to the market.

Chapter Five

Product Management

Unit description

This chapter deals with meaning of product, levels of a product, classification of products, product mix and product line, new product development, product life cycle stages, branding , packaging and labeling. To deliver these contents, active learning methods such as brainstorming, interactive lecture, group discussion, and independent learning will be used. And to assess students' achievement, continuous assessments such as quiz, test, class activities & assignments will be used.

☛ **What comes to your mind when you think of product? What is product for you?**

Many people think that a product is a tangible offering, but a product can be more than that. A product is anything that can be offered to a market to satisfy a want or need. Products include physical goods, services, experiences, events, persons, places, properties, organizations, information, and ideas.

Product Levels (the Customer Value Hierarchy)

In planning market offering, marketers need to address five product levels. Each level adds more customer value, and the five constitute a customer value hierarchy.

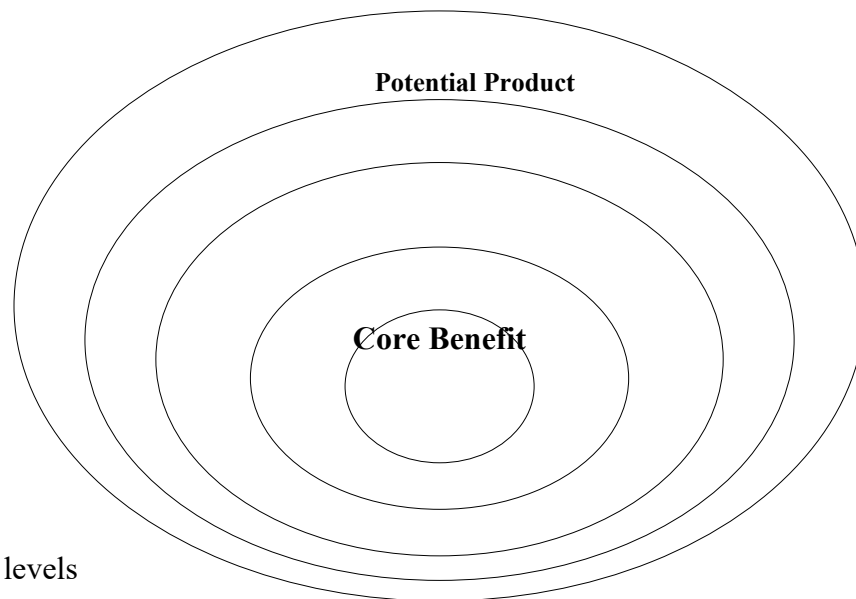


Fig. 5.1 Five product levels

Q. what are the five product levels? Discuss **about five product levels**

Product Classifications

Marketers have traditionally classified products on the basis of characteristics: **durability, tangibility, and intended use**. Each product type has an appropriate marketing-mix strategy.

In addition to understanding a product's position in the hierarchy, the marketer also must understand how to classify the product on the basis of three characteristics: durability, tangibility, and consumer or industrial use. Each product classification is associated with a different marketing-mix strategy.

I) Durability and Tangibility

Products can be classified into three groups, according to their durability and tangibility: **Nondurable goods:** are tangible goods that are normally consumed in one or a few uses (such as beer and soap). Because these goods are consumed quickly and purchased frequently, the appropriate strategy is to make them available in many locations, charge only a small markup, and advertise heavily to induce trial and build preference.

Durable goods: are tangible goods that normally survive many uses (such as refrigerators). These products normally require more personal selling and service, command a higher margin, and require more seller guarantees.

Services: are intangible, inseparable, variable, and perishable products (such as haircuts and repairs), so they normally require more quality control, supplier credibility, and adaptability.

II) Consumer-goods classification

Consumers buy a vast array of goods. These goods can be classified on the basis of consumer shopping habits. We can distinguish among convenience, shopping, specialty, and unsought goods.

Convenience goods: convenience goods are goods that the customer usually purchases frequently, immediately, and with a minimum of effort. Examples include soaps, and newspapers. Convenience goods can be further divided into staples, impulse goods, and emergency goods.

- **Staples:** are goods that consumers purchase on a regular basis. For example, one buyer might routinely purchase bread, soap, and pastas.
- **Impulse:** goods are purchased on impulse, without any planning or search effort. These goods are usually displayed widely. Examples are chewing gums, lottery, and magazines.

They are widely distributed and displayed because shoppers may not have thought of buying them until they spot them.

- **Emergency goods:** are purchased when a need is urgent-umbrellas during a rainstorm and candles during blackouts. Manufacturers of emergency goods will place them in many outlets so as to capture the sale when the customer needs them.

Shopping goods: are less frequently purchased that customer compare carefully on suitability, quality, price, and style. When buying shopping products and services, consumers spend much time and effort in gathering information and making comparisons. Examples include furniture, clothing, used cars, major appliances, and hotel and airline services. Shopping products marketers usually distribute their products through fewer outlets but provide deeper sales support to help customers in their comparison efforts.

Specialty goods: are goods with unique characteristics and/or brand identification for which a significant group of buyers are habitually willing to make a special purchasing effort. Examples include specific brands and types of cars, high-priced photographic equipment, Rolex watches and the services of medical or legal specialists. Buyers normally do not compare specialty products. They invest only the time needed to reach dealers carrying the wanted products.

Unsought goods: are consumer products that the consumer either does not know about or knows about but does not normally think of buying. Most major new innovations are unsought until the consumer becomes aware of them through advertising. Classic examples of known but unsought products and services are life insurance and blood donations to the Red Cross. By their very nature, unsought products require a lot of advertising, personal selling, and other marketing efforts.

III) Industrial-Goods Classification

Industrial products are those purchased for further processing or for use in conducting a business. Thus, the distinction between a consumer product and an industrial product is based on the purpose for which the product is bought. The three groups of industrial products and services include materials and parts, capital items, and supplies and services.

Materials and parts: include raw materials and manufactured materials and parts. Raw materials consist of farm products (wheat, cotton, livestock, fruits, vegetables and the like) and natural products (fish, crude petroleum, iron ore and the like). Manufactured materials and parts consist

of component materials (iron, yarn, cement, wires and the like) and component parts (small motors, tires, castings and the like). Most manufactured materials and parts are sold directly to industrial users. Price and service are the major marketing factors; branding and advertising tend to be less important.

Capital items: are industrial products that aid in the buyer's production or operations, including installations and accessory equipment. Installations consist of major purchases such as buildings (factories, offices) and fixed equipment (generators, large computer systems, elevators). Accessory equipment includes portable factory equipment and tools (hand tools, lift trucks) and office equipment (computers, fax machines, desks). They have a shorter life than installations and simply aid in the production process.

Supplies and services: the final group of industrial products is supplies and services. Supplies include operating supplies (lubricants, coal, paper, pencils) and repair and maintenance items (paint, nails). Supplies are the convenience products of the industrial field because they are usually purchased with a minimum of effort or comparison. Business services include maintenance and repair services (window cleaning, computer repair) and business advisory services (legal, management consulting, advertising and the like). Such services are usually supplied under contract.

Q. Discuss product classification based on the above characteristics.

Branding, Packaging, and Labeling,

Brand Decisions

Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect and enhance brand. Marketers say that “branding is the art and cornerstone of marketing”.

A **Brand** is a name, design or symbol (or combination of these) that uniquely identifier the product and service of one seller or a group of sellers and differentiate them from those of competitors.

Brands may include the following elements: Brand name, Logo, Symbol, Character, Slogan, Jingle, Package,

Perhaps the most distinctive skill of professional marketers is their ability to build and manage brands. The American Marketing Association defines a brand as a name, term, sign, symbol, or design, or a combination of these, intended to identify the goods or services of one seller or group

of sellers and to differentiate them from those of competitors. Consumers view a brand as an important part of a product, and branding can add value to a product.

Branding has become so strong that today hardly anything goes unbranded. Salt is packaged in branded containers and automobile parts-spark plugs, tires, filters-bear brand names that differ from those of the automakers. Even fruits, vegetables and dairy products are branded.

Branding helps buyers in many ways. Brand names help consumers identify products that might benefit them. Brands also say something about product quality and consistency buyers who always buy the same brand know that they will get the same features, benefits, and quality each time they buy. Branding also gives the seller several advantages. The brand name becomes the basis on which a whole story can be built around a product's special qualities. The seller's brand name and trademark provide legal protection for unique product features that otherwise might be copied by competitors.

☛ Take a brand of Debreabor University and identify and discuss its elements

Packaging is related with all the activities of designing and producing the container or wrapper for a product. There are three major reasons for packaging

The following factors have contributed to packaging's growing use as a potent marketing tool:

- **Self-service:** The typical supermarket shopper passes by some 300 items per minute. Given that 53 percent of all purchases are made on impulse, an effective package attracts attention, describes features, creates confidence, and makes a favorable impression.
- **Consumer affluence:** Rising consumer affluence means consumers are willing to pay a little more for the convenience, appearance, dependability, and prestige of better packages.
- **Company and brand image:** Packages contribute to instant recognition of the company or brand.

Packaging involves designing and producing the container or wrapper for a product. Poorly designed packages can cause headaches for consumers and lost sales for the company. By contrast, innovative packaging can give a company an advantage over competitors and boost sales. Sometimes even seemingly small packaging improvements can make a big difference.

Packaging might include up to three levels of material. Old Spice aftershave lotion is in a bottle (primary package) that is in a cardboard box (secondary package) that is in a corrugated box (shipping package) containing six dozen boxes of Old Spice.

Label: the label may be a simple tag attached to the product or an elaborately designed graphic that is part of the package. The label can be **Brand label, Grade label and/Descriptive labels**.

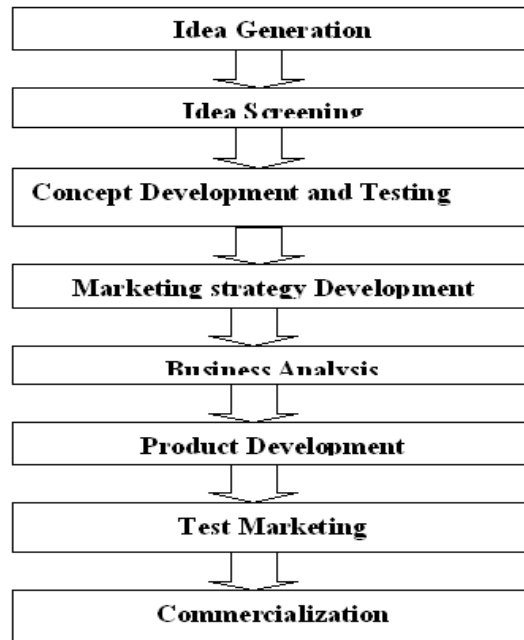
Labeling is subset of packaging; sellers must label their products. The label may be a simple tag attached to the product or an elaborately designed graphic that is part of the package. The label might carry only the brand name or a great deal of information. Even if the seller prefers a simple label, the law may require additional information.

Labels perform several functions. First, the label identifies the product or brand. The label might also grade the product. The label might describe the product: who made it, where it was made, when it was made, what it contains, how it is to be used, and how to use it safely. Finally, the label might promote the product through its attractive graphics.

Labels eventually become outmoded and need freshening up. Legal considerations also need to be made in developing packaging and labeling.

New Product Development

By new products we mean developing original products, making product improvements, product modifications, and new brands that the firm develops through its own research and development efforts. New product development passes through the following steps.



To create successful new products, a company must understand its market competitors and develop products that deliver superior value to customers. It must carry out strong new-product planning and set up a systematic new-product development process for finding and growing new products.

1. **Idea Generation:** New-product development starts with idea generation- the systematic search for new product ideas. A company typically has to generate many ideas in order to find a few good ones. Major sources of new-product ideas include internal sources and external sources. Using internal sources, the company can find new ideas through formal research and development. It can pick the brains of its executives, scientists, engineers, manufacturing staff, and sales people. Everyone in the company can contribute good new-product ideas. In case of external sources, good new product ideas also come from customers. The company can analyze customer question and complaints to find new products that better solve consumer problems. Beyond customers, companies can tap several other external sources such as competitors, distributors, suppliers and others.
2. **Idea screening:** Idea screening helps to spot good ideas and drop poor ones as soon as possible. Product development costs rise greatly in the later stages, so the company wants to go ahead only with the product ideas that will turn in to profitable products. Many companies require their executives to write up new-product ideas on a standard form that can be reviewed by a new product committee. The write-up describes the product, the target market, and the

competition. It makes some rough estimates of market size, product price, development time and costs, manufacturing costs, and rate of return. The committee then evaluates the idea against a set of general criteria.

3. **Concept development and testing:** Concept development and testing involves the conversion of a product idea to explanatory words or pictures which are assumed to be more meaningful for the consumer. Companies at this stage deploy different pictorial diagrams to bring the abstract product ideas to real consumer preference. For some concept tests, a word or picture description might be sufficient. However, a more concrete, and physical presentation of the concept will increase the reliability of the concept test. After being exposed to the concept, consumers then may be asked to react to it by answering different questions related to the concept. The answers to such questions will help the company decide which concept has the strongest appeal.
4. **Market strategy development:** After testing and selecting a product concept for development, the new-product manager must draft a three-part preliminary marketing-strategy plan for introducing the new product into the market. The first part will describe the target market's size, structure, and behavior; the planned product positioning; and the sales, market share, and profit goals sought in the first few years. The second part will outline the planned price, distribution strategy, and marketing budget for the first year. The third part will describe the long-run sales and profit goals and marketing-mix strategy over time. This plan forms the basis for the business analysis that is conducted before management makes a final decision on the new product.
5. **Business Analysis:** Once management has decided on its product concept and marketing strategy, it can evaluate the business attractiveness of the proposal. Business analysis involves a review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives. If they do, the product concept can move to the product development stage.

To estimate sales, the company might look at the sales history of similar products and conduct surveys of market opinion. It can then estimate minimum and maximum sales to assess the range of risk. After preparing the sales forecast, management can estimate the expected costs and profits for the product, including marketing, R&D, operations, accounting and finance

costs. The company then uses the sales and costs figures to analyze the new product's financial attractiveness.

6. **Product development:** So far, for many new-product concepts, the product may have existed only as a word description, or a drawing. If the product concept passes the business test, it moves into-product development. Here, R&D or engineering develops the product concept into a physical product. The product development step, however, now calls for a large jump in investment. It will show whether the product idea can be turned into a workable product. The R&D department will develop and test one or more physical versions of the product concept. Moreover, it hopes to design a prototype that will satisfy and excite consumers and that can be produced quickly and at budgeted costs. Developing a successful prototype can take days, weeks, months, or even years. Often, products undergo rigorous tests to make sure that they perform safely and effectively or that consumers will find value in them.
7. **Market Tests:** Test marketing is the stage at which the product and marketing program are introduced into more realistic market settings. Test marketing gives the marketer experience with marketing the product before going to the great expense of full introduction. It lets the company test the product and its entire marketing program- positioning strategy, advertising, distribution, pricing, branding and packaging, and budget levels.

The amount of test marketing needed varies with each new product. When the cost of developing and introducing the product are low, or when management is already confident about the new product, the company may do little or no test marketing. In fact, test marketing by consumer goods firms has been declining in recent years. Companies often do not test-market simple line extensions or copies of successful competitor products. However, when introducing a new product requires a big investment or when management is not sure of the product or marketing program, a company may do a lot of test marketing

8. **Commercialization:** Test marketing gives management the information needed to make a final decision about whether to launch the new product. If the company goes ahead with commercialization- introducing new product in to the market- it will face high costs. The company may have to build or rent a manufacturing facility. And in the case of a major new consumer packaged goods, it may spend hundreds of millions of dollars for advertising, sales promotion, and other marketing efforts in the first year.

The company must decide where to launch the new product-in a single location; a region, the national market, or the international market. Few companies have the confidence, capital, and capacity to launch new products into full national or international distribution. They will develop a planned market rollout over time. In particular, small companies may enter attractive cities or regions one at a time. Larger companies, however, may quickly introduce new models into several regions or into the full national market.

Product Life Cycle

Products like any other living things undergo life cycle. The concept of product life cycle PLC suggests that any product or service move through identifiable stages for which different strategies need to be developed and implemented.

After launching the new product, management wants the product to enjoy a long and happy life. Although it does not expect the product to sell forever, the company wants to earn a decent profit to cover all the effort and risk that went into launching it. Management is aware that each product will have a life cycle, although its exact shape and length is not known in advance.

Figure 5.2 shows a typical Product Life Cycle (PLC), the course that a product's sales and profits take over its lifetime. The product lifecycle has five distinct stages: product development, introduction, growth, maturity, and decline. Factors which affect the length of product life cycle include customer preferences, seasons, technological changes, completion, and the rate of acceptance of consumers for new ideas. Accordingly, a firm's marketing success can be affected considerably by its ability to understand and manage the life cycle of its products.

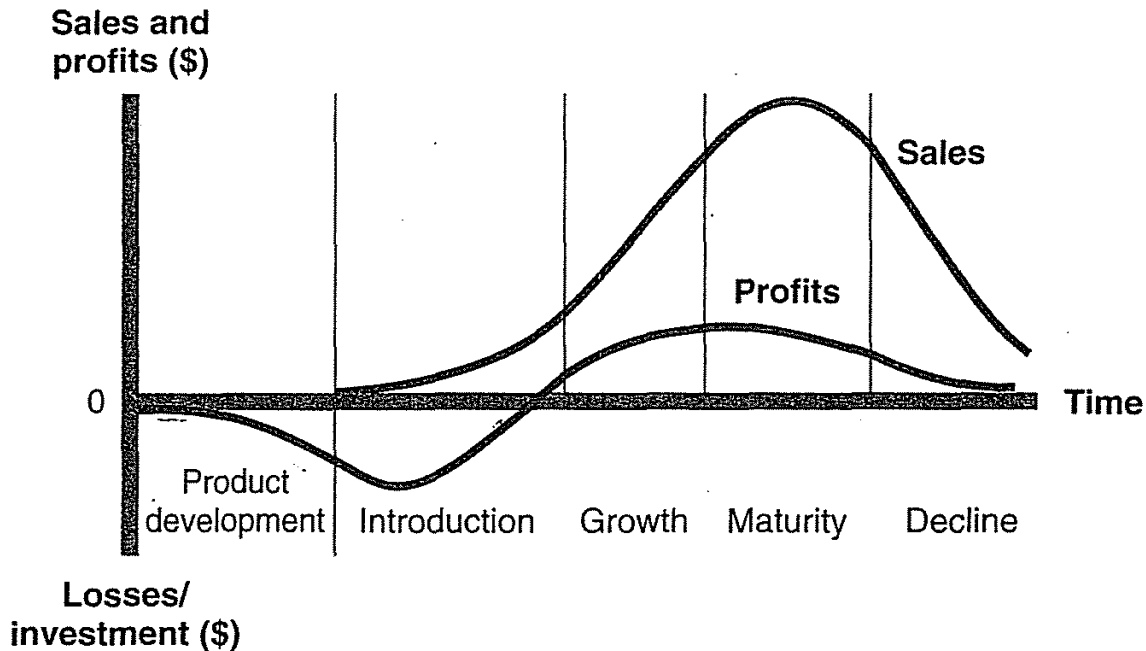


Fig. 5.2 Sales and profits over the products life from inception to demise

1. **Product development:** begins when the company finds and develops a new-product idea. During product development, sales are zero and the company's investment costs mount.
2. **Introduction stage:** Like people, products are born; they grow up (well, most people grow up anyway) and eventually they die . The introduction stage starts when the new product is first launched. Introduction takes time, and sales growth is apt to be slow. In this stage, as compared to other stages, profits are negative or low because of the low sales and high distribution and promotion expenses. Much money is needed to attract distributors and build their inventories. Promotion spending is relatively high to inform consumers of the new product and get them to try it. These firms focus their selling on those buyers who are the most ready to buy.
3. **Growth stage:** If the new product meets market needs or stimulates previously untapped needs, it will enter a growth stage, in which sales will start climbing quickly. The early adopters will continue to buy, and later buyers will start following their lead, especially if they hear favorable word-of mouth. Attracted by the opportunities for profit, new competitors will enter the market. They will introduce new product features, improve on the pioneer's product and expand the market for the product. The increase in competitors leads to an increase in the number of distribution outlets, and sales jump just to build reseller inventories. Prices remain

where they are or fall only slightly. Companies keep their promotion spending at the same or a slightly higher level.

Profits increase during the growth stage, as promotion costs are spread over a large volume and as unit-manufacturing costs fall. The firm uses several strategies to sustain rapid market growth as long as possible. It improves product quality and adds new product features and models. It enters new market segments and tries to grow sales further by selling through new distribution channels. It shifts some advertising from building product awareness to building product conviction and purchase, and it lowers prices at the right time to attract more buyers.

4. **Maturity stage:** At some point, a product's sales growth will slow down and the product will enter a maturity stage. This maturity stage normally lasts longer than the previous stages, and it poses strong challenges to marketing management. Competitors begin to cut prices, increase their advertising and sales promotions, and raise their R&D budgets to find better versions of the product. These steps lead to a drop in profit. Some of the weaker competitors start dropping out of the industry, and the industry eventually contains only well-established competitors. Although many products in the mature stage appear to remain unchanged for long periods, most successful ones stay alive through continually evolving to meet changing consumer needs. Product managers should do more than simply ride along with or defend their mature products. They should stretch their imagination and look for new ways to innovate in the market (market development), or to modify the product (product development) and the marketing mix modification (marketing innovation).
5. **Decline stage:** The period when sales show a downward drift and profits erode. Sales may plunge to zero, or they may drop to a low level where they continue for many years. Sales decline for many reasons, including technological advances, shifts in consumer tastes and increased competition. As sales and profits decline, some firms withdraw from the market. Those remaining may reduce the number of their product offerings. They may drop smaller market segments and marginal trade channels, or they may cut the promotion budget and reduce their prices further.

The firm should identify those products in the decline stage by regularly reviewing sales, market shares, costs and profit trends. Then management must decide whether to maintain, harvest for cash or drop each of these declining products.

Management may decide to maintain its brand without change in the hope that competitors will leave the industry. Alternatively, management may decide to reposition the brand in the hope of moving it back into the growth stage of the product life-cycle. Management may decide to harvest the product, which means reducing various costs (plant and equipment, maintenance, R&D, advertising, sales force) and hoping that sales hold up. If successful, harvesting will release cash and increase the company's profits in the short run. Or management may decide to drop the product from the line. It can sell it to another firm or simply liquidate it at salvage value.

Q. Identify the five stages of product life cycle and discuss the possible strategies to be used at each stage.

Chapter Six

Pricing Products

Unit description

This chapter deals with the meaning of pricing; factors affecting pricing decisions, pricing objectives, general pricing approaches, new product pricing strategies, price adjustment strategies and product mix pricing strategies. To deliver these contents, problem based learning method will be used. And also to assess students' achievement, continuous assessments such as quiz, test, class activities, assignments and others will be used.

What is price? How we set prices? What factors should be taken in to account while setting prices?

All profit and nonprofit organizations must set prices on their products and services. Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or service. It is what we pay for what we get. Price is one major factor affecting buyer choice. Recently, however, non-price factors have become increasingly important in buyer-choice behavior. It should be remembered that price is the only element in the marketing mix that produces revenue; all other elements represent costs. Price is also one of the most flexible of elements of the marketing mix.

Factors to Consider When Setting Prices

1. Internal Factors Affecting Pricing Decision

I. Marketing Objectives: marketing objectives include survival, current profit maximization, market share leadership, and product quality leadership.

- ❖ **Survival:** This is a short-term objective that is appropriate only for companies that are plagued with overcapacity, intense competition, or changing consumer wants. As long as prices cover variable costs and some fixed costs, the company will be able to remain in business.
- ❖ **Maximum current profit:** To maximize current profits, companies estimate the demand and costs associated with alternative prices and then choose the price that produces maximum current profit, cash flow, or return on investment. However, by emphasizing current profits, the company may sacrifice long-run performance by ignoring the effects of other marketing-mix variables, competitors' reactions, and legal restraints on price.

- ❖ **Maximum market share:** Firms choose this objective because they believe that higher sales volume will lead to lower unit costs and higher long-run profit. With this market-penetration pricing, the firms set the lowest price, assuming the market is price sensitive. This is appropriate when (1) the market is highly price sensitive, so a low price stimulates market growth; (2) production and distribution costs fall with accumulated production experience; and (3) a low price discourages competition.
- ❖ **Product-quality leadership:** Companies that aim to be product-quality leaders will offer premium products at premium prices. Because they offer top quality plus innovative features that deliver wanted benefits, these firms can charge more.

II. Costs: **are the amount of money incurred to develop, produce, promote and deliver a product to the target market.** Costs set the floor for the price that the company can charge for its product.

2. External Factors Affecting Pricing Decisions

External factors that affect pricing decisions include the **nature of the market and demand, competition, and other environmental elements.**

Estimated Demand

In pricing a company must estimate the total demand for the product. This is easier to do for an established product than for a new one. The steps in estimating demand are

1. Determine whether there is a price the market expects and
2. Estimate what the sales volume might be at different prices

Expected price usually is expressed as a range of prices rather than as a specific amount. Thus the expected price might be “between \$300 and 350” or, for another product, “not over \$20”.

A product must also consider an intermediaries reaction to price. Intermediaries are more likely to promote a product if they approve its price. It’s possible to set a price too low. If the price is much lower than what the market expects, sales may be lost. In all likelihood, shoppers would be suspicious about product quality, or their self-concept would not let them buy such low-priced products.

After raising a product’s price, some organizations have experienced a considerable increase in sales. When this occurs, it indicates that customers infer better quality from the higher prices. This situation is called inverse demand the higher the price, the greater the unit sales. Inverse demand

usually exists only within a given price range and only at low price levels. At some point inverse demand ends and the usual-shaped curve is evident. That is, demand declines as prices rise.

Competitive Reactions

Competition greatly influences base price. A new product is distinctive only until competition arrives, which is inevitable. The threat of potential competition is greatest when the field is easy to enter and profit prospects are encouraging. Competition can come from three sources. In the case of similar and substitute products, a competitor may adjust its prices. In turn, other firms have to decide what price adjustments, if any, are necessary to retain their customers.

Q. Discuss how internal & external factors affect pricing decisions.

General Pricing Approaches

The price the company charges will be somewhere between one that is too low to produce a demand and one that is too high to produce some profit. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling. The company must consider competitors' prices and other external and internal factors to find the best price between these two extremes. There are three major pricing approaches: the **cost-based approach** (cost-plus pricing, break-even analysis, and target profit pricing); the **buyer based approach** (value-based pricing); and the **competition-based approach** (going-rate and sealed-bid pricing).

i) Cost Based Approach

Cost plus (Mark up) pricing: The simplest pricing method is cost-plus pricing-adding a standard markup to the cost of the product. Construction companies, for example, submit job bids by estimating the total project cost and adding a standard markup for profit. Lawyers, accountants, and other professionals typically price by adding a standard markup, to their costs. To illustrate markup pricing, suppose a toaster manufacturer had the following costs and expected sales:

Variable cost = \$10

Fixed costs = \$300,000

Expected unit sales = 50,000

The manufacturer's unit cost is given by:

Unit cost: Variable cost + Fixed cost

Unit sales

$$= 10 + \frac{300,000}{50,000} = \$16$$

Now assume the manufacturer wants to earn a 20% markup on sales. The manufacturer's markup price is given by:

$$\text{Markup price} = \frac{\text{unit cost}}{(1 - \text{desired return on sales})} = \frac{\$16}{1 - 0.2} = \underline{\underline{\$20}}$$

The manufacturer would charge dealers \$20 per toaster and make a profit of \$4 per unit.

Does using standard markup to set prices make sense? Generally no, any pricing method that ignores demand and competitor prices is not likely to lead to the best price.

Markup pricing works only if that price actually brings in the expected level of sales. Still, markup pricing remains popular for many reasons. First, sellers are more certain about costs than about demand. By tying the price to cost, sellers simplify pricing—they do not have to make frequent adjustments as demand changes. Second, when all firms in the industry use this pricing method, prices tend to be similar and price competition is thus minimized. Third, many people feel that cost-plus pricing is fairer to both buyers and sellers. Sellers earn a fair return on their investment but do not take advantage of buyers when buyers' demand becomes great.

Target-return pricing: In target-return pricing, the firm determines the price that would yield its target rate of return on investment (ROI). Suppose the toaster manufacturer in the previous example has invested \$1 million and wants to earn a 20 percent return on its invested capital. The target-return price is given by the following formula:

$$\begin{aligned} \text{Target-return price} &= \text{Unit cost} + \frac{\text{desired return} \times \text{invested capital}}{\text{Unit sales}} \\ &= 16 + \frac{0.20 \times 1,000,000}{50,000} \\ &= \underline{\underline{\$20}} \end{aligned}$$

The manufacturer will realize this 20 % ROI provided its costs and estimated sales turn out to be accurate. But what if sales do not reach 50,000 units? The manufacturer can prepare a break-even chart to learn what would happen at other sales levels.

Break-Even Analysis:

One way to consider both market demand and costs in price determination is using break-even analysis to calculate break-even points. A break-even point is that quantity of output at which total revenue equals total costs, assuming a certain selling price.

Note that fixed costs remain the same regardless of sales volume, while variable costs rise with volume. Total costs equal the sum of fixed costs and variable costs; the total revenue curve rises with each unit sold.

The breakeven point can be found with this formula:

$$\begin{aligned}\text{Break-even point in units} &= \frac{\text{Total fixed costs (TFC)}}{\text{Unit contribution to overhead}} \\ &= \frac{\text{TFC}}{(\text{Selling price} - \text{Average variable cost})}\end{aligned}$$

Returning to our example, fixed costs are \$300,000 selling price is found to be \$20

Accordingly,

$$\text{BEP (Volume)} = \frac{\$300,000}{\$20 - \$10} = 30,000 \text{ units}$$

If sales exceed 30,000 units results in a profit on each additional unit. The higher sales are above the break-even point, the higher will be the total and unit profits. In practice, the manufacturer needs to consider different prices and estimate their probable impacts on sales volume and profits. The manufacturer should also search for ways to lower its fixed or variable costs, because lower costs will decrease its required break-even volume.

ii) Value Based Approach

Perceived-value pricing: An increasing number of companies base price on customers' perceived value. They see the buyers' perceptions of value, not the seller's cost, as the key to pricing. Then they use the other marketing-mix elements, such as advertising, to build up perceived value in buyers' minds.

The key to perceived-value pricing is to determine the market's perception of the offer's value accurately. Sellers with an inflated view of their offer's value will overprice their product, while sellers with an underestimated view will charge less than they could. Market research is therefore needed to establish the market's perception of value as a guide to effective pricing.

Value pricing: Value pricing is a method in which the company charges a fairly low price for a high-quality offering. Value pricing says that the price should represent a high-value offer to consumers. Value pricing is not a matter of simply setting lower prices on one's products compared to those of competitors. It is a matter of reengineering the company's operations to become a low-cost producer without sacrificing quality, and lowering prices significantly to attract a large number of value-conscious customers. An important type of value pricing is everyday low pricing (EDLP), which takes place at the retail level. Retailers such as Wal-Mart and Amazon.com use EDLP pricing, posting a constant, everyday low price with few or no temporary price discounts. These constant prices eliminate week-to-week price uncertainty and can be contrasted to the "high-low" pricing of promotion-oriented competitors. In high-low pricing, the retailer charges higher prices on an everyday basis but then runs frequent promotions in which prices are temporarily lowered below the EDLP level.

Retailers adopt EDLP for a number of reasons, the most important of which is that constant sales and promotions are costly and erode consumer confidence in the credibility of everyday prices. Consumers also have less time and patience for such time-honored traditions as watching for specials and clipping coupons. Yet promotions are an excellent way to create excitement and draw shoppers. For this reason, EDLP is not a guarantee of success. As supermarkets face heightened competition from store rivals and alternative channels, many are drawing shoppers using a combination of high-low and EDLP strategies, with increased advertising and promotions.

iii) Competition Based Approach

Going-rate pricing: In going-rate pricing, the firm bases its price largely on competitors' prices. The firm might charge the same, more, or less than its major competitor(s) charges. When costs are difficult to measure or competitive response is uncertain, firms feel that the going price represents a good solution, since it seems to reflect the industry's collective wisdom as to the price that will yield a fair return and not jeopardize industrial harmony.

Sealed-Bid Pricing: Competitive-oriented pricing is common when firms submit sealed bids for jobs. In bidding, each firm bases its price on expectations of how competitors will price rather than on a rigid relationship to the firm's own costs or demand. Sealed-bid pricing involves two opposite

pulls. The firm wants to win the contract—which means submitting the lowest price—yet it cannot set its price below cost.

Q. Discuss how each approaches differ one another and can be used to set prices

Pricing Strategies

Pricing decisions are subject to an incredibly complex array of environmental and competitive forces. A company sets not a single price, but rather a *pricing structure* that covers different items in its line. This pricing structure changes over time as products move through their life cycles. The company adjusts product prices to reflect changes in costs and demand and to account for variations in buyers and situations. As the competitive environment changes, the company considers when to initiate price changes and when to respond to them.

I. New-Product Pricing Strategies

Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies to price their new products: ***market-skimming pricing*** and ***market penetration pricing***.

Pricing strategies usually change as the product passes through its life cycle. The introductory stage is especially challenging. Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies: market-skimming pricing and market-penetration pricing.

(i) Market-skimming pricing

Many companies that invent new products set high initial prices to "skim" revenues layer by layer from the market. Sony frequently uses this strategy, called market-skimming pricing. When Sony introduced the world's first high-definition television (HDTV) to the Japanese market in 1990, the high-tech sets cost \$43,000. These televisions were purchased only by customers who could afford to pay a high price for the new technology. Sony rapidly reduced the price over the next several years to attract new buyers.

Market skimming makes sense only under certain conditions. First, the product's quality and image must support its higher price, and enough buyers must want the product at that price. Second, the

costs of producing a smaller volume cannot be so high that they cancel the advantage of charging more. Finally, competitors should not be able to enter the market easily and undercut the high price.

(ii) Market-penetration pricing

Rather than setting a high initial price to skim off small but profitable market segments, some companies use market-penetration pricing. They set a low initial price in order to penetrate the market quickly and deeply-to attract a large number of buyers quickly and win a large market share. The high-sales volume results in falling costs, allowing the company to cut its price even further.

Several conditions must be met for this low price strategy to work. First, the market must be highly price sensitive so that a low price produces more market growth. Second, production and distribution costs must fall as sales volume increases. Finally, the low price must help keep out the competition, and the company must maintain its low-price position-otherwise, the price advantage may be only temporary.

II. Product Mix Pricing Strategies

The strategy for setting a product's price often has to be changed when the product is part of a product mix. In this case, the firm looks for a set of prices that maximizes the profits on the total product mix. There are five product mix pricing situations; **Product Line Pricing, Captive-Product Pricing, By-Product Pricing, Product Bundle Pricing and Price-Adjustment Strategies**

1. Product line pricing

Companies usually develop product lines rather than single products. In product line pricing, management must decide on the price steps to set between the various products in a line. The price steps should take into account cost differences between the products in the line, customer evaluations of their different features, and competitors' prices. In many industries, sellers use well-established price points for the products in their line. Thus, men's clothing stores might carry men's suits at three price levels: \$185, \$325, and \$495. The customer will probably associate low-, average-, and high quality suits with the three price points. Even if the three prices are raised a

little, men normally will buy suits at their own preferred price points. The seller's task is to establish perceived quality differences that support the price differences. And Gramophone makes a complete line of high-quality sound systems, ranging in price from \$5,000 to \$120,000.

2. Captive-product pricing

Companies that make products that must be used along with a main product are using captive product pricing. Examples of captive products are razor blade cartridges, camera film and printer cartridges. Producers of the main products (razors, cameras and printers) often price them low and set high markups on the supplies used along with a main product are using captive-product pricing. Thus, Gillette sells low-priced razors but makes money on the blades, HP makes very low margins on its printers but very high margins on printer cartridges and other supplies. Similarly, other companies can sell low-priced cameras and set high markups on films.

In the case of services, this strategy is called two-part pricing. The price of the service is broken into a fixed fee plus a variable usage rate. Thus, at amusement parks, you pay a daily ticket plus additional fees for food and other in-park features. And telephone companies charge a flat rate for a basic calling plan, then charge for minutes over what the plan allows. The service firm must decide how much to charge for the basic service and how much for the variable usage. The fixed amount should be low enough to induce usage of the service; profit can be made on the variable fees.

3. By-product pricing

In producing processed meats, petroleum, chemicals, and other products, there are often by-products. If the by-products have no value and if getting rid of them is costly, this will affect the pricing of the main product. Using by-product pricing, the manufacturer will seek a market for these by-products and should accept any price that covers more than the cost of storing and delivering them. By-products can even turn out to be profitable. Any income earned on the byproduct will make it easier for the company to charge a lower price on its main product if competition forces it to do so.

4. Product bundle pricing

Using product bundle pricing, sellers often combine several of their products and offer the bundle at a reduced price. For example, fast-food restaurants bundle a burger, fries, and a soft drink at a

combo price. And Comcast and other cable companies bundle cable service, phone service, and high-speed Internet connections at a low combined price. Price bundling can promote the sales of products consumers might not otherwise buy, but the combined price must be low enough to get them to buy the bundle.

III) Price Adjustment Strategies

Companies usually adjust their basic prices to account for various customer differences and changing situations. Here we examine the seven price-adjustment strategies: discount and allowance pricing, segmented pricing, psychological pricing, promotional pricing, geographical pricing, dynamic pricing, and international pricing.

(i) Discount and allowance pricing

Most companies adjust their basic prices to reward customers for certain responses, such as early payment of bills, volume purchases, and off-season buying. These price adjustments called discounts and allowances-can take many forms. The many forms of discounts include a cash discount, a price reduction to buyers who pay their bills promptly. A typical example is "2/10, net 30," which means that although payment is due within 30 days, the buyer can deduct 2 percent if the bill is paid within 10 days. A quantity discount is a price reduction to buyers who buy large volumes.

A functional discount (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping. A seasonal discount is a price reduction to buyers who buy merchandise or services out of season. For example, lawn and garden equipment manufacturers offer seasonal discounts to retailers during the fall and winter months to encourage early ordering in anticipation of the heavy spring and summer selling seasons. Seasonal discounts allow the seller to keep production steady during an entire year.

Allowances are another type of reduction from the list price. For example, trade-in allowances are price reductions given for turning in an old item when buying a new one. Trade-in allowances are most common in the automobile industry but are also given for other durable goods. Promotional allowances are payments or price reductions to reward dealers for participating in advertising and sales support programs.

(ii) Segmented /Discriminatory/ Pricing

Companies will often adjust their basic prices to allow for differences in customers, products, and locations. In segmented pricing, the company sells a product or service at two or more prices, even though the difference in prices is not based on differences in costs.

Segmented pricing takes several forms. Under customer segment pricing, different customers pay different prices for the same product or service. Museums, for example, may charge a lower admission for students and senior citizens. Under product form pricing, different versions of the product are priced differently but not according to differences in their costs /the extra feature to the product may not cost a more than few dollars.

Using location pricing, a company charges different prices for different locations, even though the cost of offering each location is the same. For instance, theaters vary their seat prices because of audience preferences for certain locations. Finally, using time pricing, a firm varies its price by the season, the month, the day, and even the hour. Some public utilities vary their prices to commercial users by time of day and weekend versus weekday. For example, Ethiopian Telecommunication Corporation offers lower off-pick charges.

(iii) Psychological pricing

Price says something about the product. For example, many consumers use price to judge quality. A \$100 bottle of perfume may contain only \$3 worth of scent, but some people are willing to pay the \$100 because this price indicates something special.

In using psychological pricing, sellers consider the psychology of prices and not simply the economics. For example, consumers usually perceive higher-priced products as having higher quality. When they can judge the quality of a product by examining it or by calling on past experience with it, they use price less to judge quality. But when they cannot judge quality because they lack the information or skill, price becomes an important quality signal.

Another aspect of psychological pricing is reference prices-prices that buyers carry in their minds and refer to when looking at a given product. The reference price might be formed by noting current prices, remembering past prices, or assessing the buying situation. Sellers can influence or use these consumers' reference prices when setting price. For example, a company could display

its product next to more expensive ones in order to imply that it belongs in the same class. Department stores often sell women's clothing in separate departments differentiated by price: Clothing found in the more expensive department is assumed to be of better quality.

Companies can also influence consumers' reference prices by stating high manufacturer's suggested prices, by indicating that the product was originally priced much higher, or by pointing to competitors' higher prices. Even small differences in price can signal product differences. Consider a stereo priced at \$300 compared to one priced at \$299.99. The actual price difference is only 1 cent, but the psychological difference can be much greater. For example, some consumers will see the \$299.99 as a price in the \$200 range rather than the \$300 range. The \$299.99 will more likely be seen as a bargain price, whereas the \$300 price suggests more quality. Some psychologists argue that each digit has symbolic and visual qualities that should be considered in pricing.

(iv) Promotional pricing

With promotional pricing, companies will temporarily price their products below list price and sometimes even below cost to create buying excitement and urgency. Promotional pricing takes several forms. Supermarkets and department stores will price a few products as loss leaders to attract customers to the store in the hope that they will buy other items at normal markups. For example, supermarkets often sell disposable diapers at less than cost in order to attract family buyers who make larger average purchases per trip. Sellers will also use special event pricing in certain seasons to draw more customers. Thus, linens are promotionally priced every January to attract weary Christmas shoppers back into stores.

Manufacturers sometimes offer cash rebates to consumers who buy the product from dealers within a specified time; the manufacturer sends the rebate directly to the customer. Rebates have been popular with automakers and producers of durable goods and small appliances, but they are also used with consumer packaged goods. Some manufacturers offer low interest financing, longer warranties, or free maintenance to reduce the consumer's "price." This practice has become another favorite of the auto industry.

(v) Geographical pricing

A company also must decide how to price its products for customers located in different parts of the country or world. Should the company risk losing the business of more-distant customers by charging them higher prices to cover the higher shipping costs? Or should the company charge all customers the same prices regardless of location? We will look at five geographical pricing strategies:

- **FOB-origin pricing:** this practice means that the goods are placed free on board (hence, FOB) a carrier. At that point the title and responsibility pass to the customer, who pays the freight from the factory to the destination. Because each customer picks up its own cost, supporters of FOB pricing feel that this is the fairest way to assess freight charges. The disadvantage, however, is that a company will be a high-cost firm to distant customers.
- **Uniform-delivered pricing:** is the opposite of FOB pricing. Here, the company charges the same price plus freight to all customers, regardless of their location. The freight charge is set at the average freight cost. This method is fairly easy to administer and advertise nationally. Averaging method helps distant customers and sometimes discriminates against local or close customers.
- **Zone pricing:** falls between FOB-origin pricing and uniform-delivered pricing. The company sets up two or more zones. All customers within a given zone pay a single total price; the more distant the zone, the higher the price.
- **Basing-point pricing:** the seller selects a given city as a "basing point" and charges all customers the freight cost from that city to the customer location, regardless of the city from which the goods are actually shipped.
- **Freight-absorption pricing:** Finally, the seller who is anxious to do business with a certain customer or geographical area might use freight-absorption pricing. Using this strategy, the seller absorbs all or part of the actual freight charges in order to get the desired business. The seller might reason that if it can get more business, its average costs will fall and more than compensate for its extra freight cost. Freight-absorption pricing is used for market penetration and to hold on to increasingly competitive markets.

(vi) **Dynamic pricing**

Throughout most of history, prices were set by negotiation between buyers and sellers. Fixed price policies-setting one price for all buyers-is a relatively modern idea that arose with the development of large-scale retailing at the end of the nineteenth century. Today, most prices are set this way.

However, some companies are now reversing the fixed pricing trend. They are using dynamic pricing-adjusting prices continually to meet the characteristics and needs of individual customers and situations.

(vii) International pricing

Companies that market their products internationally must decide what prices to charge in the different countries in which they operate. In some cases, a company can set a uniform worldwide price. For example, Boeing sells its jetliners at about the same price everywhere, whether in the United States, Europe, or a third-world country. However, most companies adjust their prices to reflect local market conditions and cost considerations.

The price that a company should charge in a specific country depends on many factors, including economic conditions, competitive situations and laws and regulations. Consumer perceptions and preferences also may vary from country to country, calling for different prices. Or the company may have different marketing objectives in various world markets, which require changes in pricing strategy. For example, Samsung might introduce a new product into mature markets in highly developed countries with the goal of quickly gaining mass-market share-this would call for a penetration-pricing strategy. In contrast, it might enter a less developed market by targeting smaller, less price-sensitive segments; in this case, market-skimming pricing makes sense. Costs play an important role in setting international prices. Travelers abroad are often surprised to find that goods that are relatively inexpensive at home may carry outrageously higher price tags in other countries.

Q. Discuss how and when each pricing strategies can be used by sellers?

Chapter Seven

Distribution Channel

Unit description

This chapter deals with the meaning of distribution channels, major channels of distribution and factors affecting choice of distribution channels. To deliver these contents, active learning methods such as brainstorming, interactive lecture, group discussion, and independent learning will be used. And also to assess students' achievement, continuous assessments such as quiz, test, class activities & assignments will be used.

- ☛ What is distribution channel? Who are involved in distribution? Why producers involve other parties?

Marketing or distribution channel refers to the activities, parties and channel structures involved to transfer the product from its point of production to its point of consumption. It indicates set of interdependent organizations involved in the process of making the product available for use or consumption by the consumer or industrial user

Marketing channel functions

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. Members of the marketing channel perform many key functions: information, promotion, matching, negotiation, physical distribution, financing and risk taking

- Information: Gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and facilitating exchange.
- Promotion: Developing and spreading persuasive communications about an offer.
- Contact: Finding and communicating with prospective buyers.
- Matching: Shaping and fitting the offer to the buyer's needs, including such activities as manufacturing, grading, assembling and packaging.
- Negotiation: Reaching an agreement on price and other terms of the offer, so that ownership or possession can be transferred.

- Physical distribution: Transporting and storing goods.
- Financing: acquire and using funds to cover the costs of the channel work.
- Risk taking: Assuming the risks of carrying out the channel work.

Channel structure and levels

Channel level refers the number of intermediaries involved in performing some work in bringing the product and its owner ship closer to the final buyer. Channel structure refers all organizations involved through which a product passes between its point of production and point of consumption.

Marketing channels can broadly classified into two. **Direct channel** is a channel used when a manufacturer prefers to sell its products directly to the final user or consumer without the use of intermediaries. **Indirect channel** is a situation where the manufacturer uses intermediaries to sell its products.

Q. Compare and contrast direct and indirect channels of distribution

Intensity of distribution

Intensity of distribution indicates the number of intermediaries used at each channel level. Intensity of distribution can be categorized as **Exclusive distribution, Intensive distribution and Selective distribution.**

Intensity of distribution

Intensity of distribution indicates the number of intermediaries used at each channel level. Intensity of distribution can be categorized as

- **Exclusive distribution:** product providers may want to limit the number of intermediaries involved in distributing their products. The distributor gives only a limited number of dealers the exclusive right to distribute the product in their sales territories. It is used when the manufacturer wants to exercise high degree of control over channel members and for technical products for which technical assistance is needed from the manufacturer. This strategy can better used for convenience products.
- **Intensive distribution:** a producer may want to make its products available every where. To make this effective the producer must use as many intermediaries as possible. Therefore, intensive distribution allows the manufacturer to sell its products to any intermediary that is willing to carry out the product.

- **Selective distribution:** this strategy lies in between the two extreme distribution strategies. Under this strategy the producer uses more than one but as few as all of the intermediaries that are willing to carry out the company's product. Through this strategy companies can exercise better control over its channel members and allows a wider market coverage.

Q. Discuss intensity of distribution with practical examples.

Factors affecting channel choice/Selecting Channels of Distribution

Companies select distribution channel on the basis of the following factors

- Customer characteristics
- Product characteristics
- Competitor characteristics
- Company characteristics
- Environmental characteristics
- Distribution Coverage Required
- Degree of control
- Total distribution cost
- Channel flexibility

The nature of the market should be the key factor in management's choice of channels. Other considerations are the product, the intermediary, and the company itself.

- Market Considerations:** A logical starting point is to consider the target market -its needs, structure, and buying behavior.
 - **Type of market:** Because ultimate consumers behave differently than business users, they are reached through different distribution channels. Retailers, by definition, serve ultimate consumers. So they are not in channels for business goods.
 - **Number of potential customers:** A manufacturer with few potential customers (firms or industries) may use its own sales force to sell directly to ultimate consumers or business users. In other case, for large number of customers, the manufacture would likely use intermediaries.
 - **Geographic concentration of the market:** When most of a firm's prospective customers are concentrated in a few geographic areas, direct sale is practical. When customers are geographically dispersed, direct sale is likely to be impractical because of high travel costs.

Sellers may establish sales branches in densely populated markets and use intermediaries in less concentrated markets.

- **Order size:** When either order size or total value of business is large, direct distribution is economical. Thus food products manufacture would sell directly to large supermarket chains. The same manufacturer, however, would use wholesalers to reach small grocery stores, whose orders are usually too small to justify direct sale.

ii. **Product Considerations:** While there are numerous product- related factors to consider, we will high light the following three.

- **Unit value:**The price attached to each unit of a product affects the setup available for distribution. For example, a company can afford to use its own employee to sell a machine that costs more than \$90,000. But it would not make sense for a company sales person to call on a household or a business firms to sell a \$2 product. Consequently, products with low unit values usually are distributed through one or more levels of intermediary. However, if order size is large because customer buys many units of a product at the same time from the company, then a direct channel may be economically feasible.
- **Perish ability:** Some goods physically deteriorate fairly quickly. Other goods, such as clothing, perish in a fashion sense. Perishable products require direct or very short channels.
- **Technical nature of a product:** A business product that is highly technical is often distributed directly to business users. The producer's sales force must provide considerable presale and post sale services; wholesalers normally cannot do this. Consumer products of a technical nature provide a real distribution challenge. As much as possible, they try to sell directly to retailers, but even then product servicing often poses problems.

iii. **Intermediary Considerations:** Here we begin to see that a company may not be able to arrange exactly the channel it desires:

- **Services provided by intermediaries:** Each producer should select intermediary offering those marketing services that the producer either unable to provide or cannot economically perform.

- **Availability of desired intermediary:** The intermediaries preferred by a producer may not be available. They may carry competing products and, as a result, not want to add another line.
- iv. **Company Considerations:** Before choosing a distribution channel for a product, a company should consider its own situation.
 - **Desire for channel control:** Some producers establish direct channel because they want to control their products distribution, even though a direct channel may be more costly than an indirect channel. By controlling the channel, producers can achieve more aggressive promotion and can better control both the freshness of merchandise stocks and their product's retail prices.
 - **Service provided by seller:** Some producers make decisions about their channel based on the distribution functions desired by intermediaries. For example, numerous retail chains will not stock a product unless it is presold through heavy advertising by the producer.
 - **Ability of management:** The marketing experience and managerial capabilities of a producer influence decisions about which channel to use. Many companies lacking marketing know-how to turn the distribution job over to intermediaries.
 - **Financial resources:** A business with adequate finances can establish its own sales force to its customers, and/or warehouse its own products. A financially weak firm uses intermediaries to provide these services.

CHAPTER EIGHT

PROMOTION

Unit description

This chapter deals with the meaning of promotion, factors affecting the promotion mix and the promotion mix elements. To deliver these contents, active learning methods such as brainstorming, interactive lecture, group discussion, and independent learning will be used. And also to assess students' achievement, continuous assessments such as quiz, test, class activities & assignments will be used.

- ☛ What is Promotion? Why promotion?

A company's total marketing communications mix also called its promotion mix consists of the specific blend of **advertising, personal selling, sales promotion, and public relations** tools that the company uses to pursue its marketing objectives.

1. **Advertising:** Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor. It can be **Informative advertising, Persuasive advertising, Comparison advertising and Reminder advertising**. Since advertisement is a paid form of non-personal presentation **advertisement budget must be determined**

Informative advertising: is used heavily when introducing a new product category. In this case, the objective is to build primary demand. Thus, early producers of DVD players first had to inform consumers of the image quality and convenience benefits of the new product.

Persuasive advertising: becomes more important as competition increases. Here, the company's objective is to build selective demand. For example, when DVD players become established and accepted, Sony begins trying to persuade consumers that its brand offers the best quality for their money. Some persuasive advertising has become **comparison advertising**, in which a company directly or indirectly compares its brand with one or more other brands. Comparative advertising has been used for products ranging from soft drinks, beer, and pain relievers to computers, batteries and car rentals.

There are potential dangers in using comparison advertising. As often happens with comparison advertising, both sides complain that the other's ads are misleading. The approach is legal in the United Kingdom and the US, but its use is banned in a number of European countries. Belgium and Germany regard it as tantamount to unfair competition.

Reminder advertising: is important for mature products as it keeps consumers thinking about the product. Expensive Coca-Cola ads on television are often designed to remind people about Coca-Cola, not merely to inform or persuade them. Advertisers might also seek to assure existing customers that they have made the right choice. For example, car firms might use reinforcement advertising that depicts satisfied owners enjoying some special feature of their new car.

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| <p>Q. 1. Discuss on what type of situation each type of advertisement can be used
2. What factors & methods should be considered while setting ad budget?</p> |
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2. Sales promotion: Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service. Whereas advertising and personal selling offer reasons to buy a product or service, sales promotion offers reasons to buy *now*.

Many tools can be used to accomplish sales promotion objectives. Descriptions of the main-consumer, trade, and business promotion tools follow.

Consumer promotion tools

The main consumer promotion tools include samples, coupons, cash refunds, price packs, premium, advertising specialties, patronage rewards, point-of-purchase displays and demonstrations, and contests, sweepstakes, and games.

Samples are offers of a trial amount of a product. Sampling is the most effective-but most expensive-way to introduce a new product or to create new excitement for an existing one. Some samples are free; for others, the company charges a small amount to offset its cost. The sample might be delivered door-to-door, sent by mail, handed out in a store or attached to another product.

Cash refunds (or rebate) are like coupons except that the price reduction occurs after the purchase rather than at the retail outlet. The consumer sends a "proof of purchase" to the manufacturer, who then refunds part of the purchase price by mail

Patronage rewards are cash or other awards offered for the regular use of a certain company's products or services. For example, airlines offer frequent flier plans, awarding points for miles traveled that can be turned in for free airline trips. And supermarkets issue frequent shopper cards that dole out a wealth of discounts at the checkout.

Q. Discuss the major sales promotion tools

3. Public Relations: Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Companies use public relations to build good relationships with consumers, investors, the media and their communities. Public relations use several tools. One of the major tools is -PR professionals find or create favorable news about the company and its products or people. Sometimes news stories occur naturally, and sometimes the PR person can suggest events or activities that would create news. Speeches can also create product and company publicity. Increasingly, company executive add questions from the media or give talks at trade associations or sales meetings, and these events can either build or hurt the company's image.

Public relations people also prepare written materials to reach and influence their target markets. These materials include annual reports, brochures, articles and company newsletters and magazines. Audiovisual materials, such as films, slide-and-sound programs and video and audio cassettes, are being used increasingly as communication tools. Corporate-identity materials also help create a corporate identity that the public immediately recognizes. Logos, stationery, brochures, signs, business cards, buildings, uniforms and even company cars and trucks make effective marketing tools when they are attractive, distinctive and memorable.

Finally, companies might improve public goodwill by contributing money and time to public service activities: campaigns to raise funds for worthy causes – for example, to fight illiteracy, support the work of a charity, or assist the aged and handicapped – help to raise public recognition. Sponsorship is any vehicle through which corporations gain public relations exposure. Corporate

sponsorships have become an important promotional tool for companies looking to lift their brand image, or introduce new product lines or services.

A company's website can also be a good public relations vehicle.

Q. Identify & discuss the major responsibilities & tools of public relation

4. Personal selling: The direct presentation of a product to a prospective customer by a representative of the selling organization is termed as personal selling. Personal selling is the personal communication of information to persuade somebody to buy something.

Personal selling is one of the oldest professions in the world. The people who do the selling go by many names: salespeople, sales representatives, district managers, account executives, sales consultants, sales engineers, agents, and account development reps to name just a few. Today, most salespeople are well-educated, well-trained professionals who work to build and maintain long-term customer relationships. They listen to their customers, assess customer needs, and organize the company's efforts to solve customer problems. Consider Boeing, the aerospace giant competing in the rough-and-tumble worldwide commercial aircraft market. It takes more than fast talk and a warm smile to sell expensive airplanes. Success depends on building solid, long-term relationships with customers, based on performance and trust. "When you buy an airplane, it is like getting married," says the head of Boeing's commercial airplane division. "It is a long-term relationship".

The role of the sales force

Personal selling is the interpersonal arm of the promotion mix. Advertising consists largely of one-way, non personal communication with target consumer groups. In contrast, personal selling involves two-way, personal communication between salespeople and individual customers whether face to face, by telephone, through video or Web conferences, or by other means. Personal selling can be more effective than advertising in more complex selling situations. Salespeople can probe customers to learn more about their problems and then adjust the marketing offer and presentation to fit the special needs of each customer.

Q. what are the tasks of personal sellers? Analyze the advantages & disadvantages of personal selling

